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**EXECUTIVE
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MEETING**

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July 2, 2018

To: Members of the Executive Board

From: The Secretary

Subject: **Grenada—Staff Report for the 2018 Article IV Consultation**

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Questions:	Mr. Lissovolik, WHD (ext. 34407) Mr. Mitchell, WHD (ext. 34759) Mr. Ghazanchyan, WHD (ext. 37689) Mr. Komatsuzaki, WHD (ext. 38486)
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***At the time of circulation of this paper to the Board, the authorities have indicated that they need more time to consider whether they will consent to the Fund's publication of this paper. Publication will only proceed upon the receipt by the Fund of the member's explicit consent.**



GRENADA

STAFF REPORT FOR THE 2018 ARTICLE IV CONSULTATION

July 2, 2018

KEY ISSUES

Context. Grenada made important strides under the 2014-17 ECF-supported program, achieving an impressive debt reduction by 37 percent of GDP since 2013, upgrading the framework for fiscal policy, strengthening the financial system, improving governance, and creating a better business environment. Nonetheless, public debt is still relatively high, job creation has been insufficient, and the institutional capacity for policy implementation needs strengthening.

Key Policy Issues.

- **Boost potential growth** including by further improving the business climate and active labor market policies, upgrading education and training, increasing resilience to natural disasters, maximizing the potential of a competitive tourism economy, and internalizing the opportunities from the recently announced oil and gas discovery if commercially viable.
- **Further strengthen the rule-based fiscal framework.** This would necessitate monitoring the 2018 budget implementation to make sure that real primary expenditure growth is consistent with the fiscal responsibility law (FRL). There is scope to clarify various operational aspects of the fiscal rules and improve fiscal transparency. While the FRL has performed well, it is worthwhile, as debt levels have come down, re-examining some of its provisions with a view to facilitating high-quality capital spending and ensuring a continuation of prudent fiscal policies. Project implementation capacity needs to be improved to increase the quality of projects and access to grant financing. The new initiatives on pension and health care ought to be imbedded in the rules-based framework.
- **Tackle the unfinished structural fiscal reform agenda.** The government should accelerate reform of the public service, proceed with parametric reforms of the pension system, restructure state-owned enterprises, increase the effectiveness of revenue administration and public investment, and fully regularize debt arrears.
- **Further improve financial regulation and supervision,** with stronger oversight of credit unions and the insurance sector and improving compliance and transparency.

GRENADA

Approved By
Nigel Chalk (WHD)
and Mary Goodman
(SPR)

Discussions took place in Grenada during May 2-15, 2018. The staff team comprised B. Lissovolik (head), M. Ghazanchyan, T. Komatsuzaki, and W. Mitchell (all WHD). Mr. Sylvester (OED) also participated in the meetings. The mission met with the Prime Minister and Minister of Finance, Planning, Economic and Physical Development, Dr. The Rt. Hon. Keith C. Mitchell; the Minister of Works Hon. Gregory Bowen; the Minister for the Climate Resilience, the Environment, Forestry, Fisheries, and Information Hon. Simon Stiell, the Permanent Secretary of the Ministry of Finance, Ophelia Wells-Cornwall; other officials, representatives of the private sector, and labor. A representative from the Eastern Caribbean Central Bank and the Caribbean Development Bank accompanied the team during the visit.

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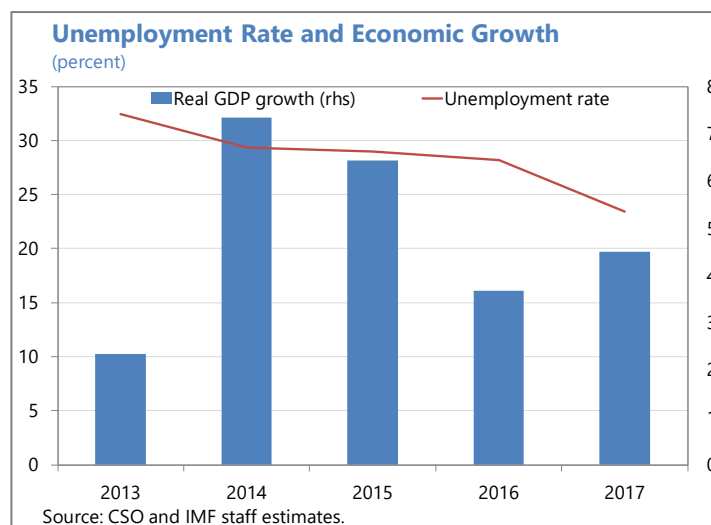
ECONOMIC AND POLITICAL CONTEXT

1. The government's economic program, supported by the ECF arrangement, has helped improve debt sustainability and unlock economic growth. An impressive fiscal adjustment (of 9½ percent of GDP) was achieved under the program and debt was restructured, lowering the debt-to-GDP ratio from 108 to below 71 percent in just four years. Despite the fiscal adjustment, growth averaged 5½ percent since 2014. The government's efforts received broad-based backing from domestic stakeholders through a negotiated Social Compact.

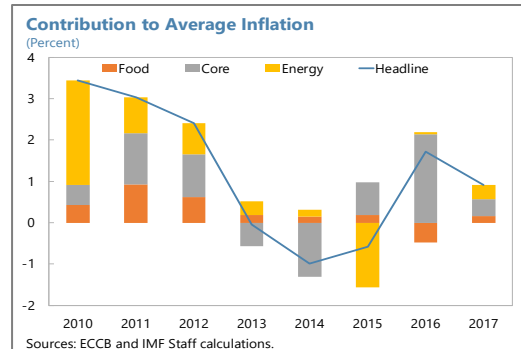
2. The focus now should turn toward raising potential growth. Growth potential is estimated at below 3 percent and is held back by Grenada's susceptibility to economic and natural disaster shocks, insufficient labor skills, high costs of labor, energy and intermediate inputs, a relatively undiversified economy, red tape, and an inefficient public sector. Unemployment is chronically high and poverty remains an important social concern.

3. The political window for advancing reforms looks favorable. The government headed by PM Mitchell was returned to office in March 2018 with full control of the legislature, having won the election on the strength of the recent economic performance. However, during the campaign several electoral promises were made (on public pensions, instituting universal health care, and cutting taxes). Also, a surge in available external financing and citizenship-by-investment (CBI) revenues may test the government's resolve to undertake far-reaching structural reforms and maintain fiscal prudence.

4. Growth surprised on the upside in 2017 at an estimated 4½ percent. Construction-related imports indicate a boom in the sector and tourism expanded by over 8 percent, supported by a continued expansion in the U.S. Private education has been also a solid contributor to growth as enrollment continued to expand. Weather-related weakness in agriculture has, however, been a headwind. Unemployment, while falling, remains high at 23.6 percent in 2017. High-frequency indicators suggest that a strong economic momentum has largely carried over to the first few months of 2018.



5. Inflation has been low, falling below 1 percent in 2017, supported by the peg to the US dollar. The impact of higher oil prices in transportation and energy sectors has so far been modest and offset by lower costs of certain non-food items (e.g., clothing and furniture) and low food price inflation.



6. The external current account deficit has widened. A switch to BPM6 led to a 10 percent of GDP reduction in the deficit (largely reflecting unrecorded receipts from non-resident students) (Box 1). Exports have been flat overall (the decline in agriculture exports was offset by strong tourism receipts) and imports have increased rapidly, reflecting the construction boom but also consumer goods and particularly motor vehicle imports. As a result, the current account deficit rose by 3½ percent of GDP in 2017, with some of the increase being financed by growing inflows to CBI programs (some 4½ percent of GDP in 2017).¹

Box 1. ECCU Balance of Payment Data Revision

The ECCB published the revised estimate of member countries' BOP data in July 2017. Data collection was enhanced by improved tourism surveys, wider coverage, and transition to BPM6 methodology. The data were revised for 2014-16.

The 2014-16 current account improved strongly due to a better services balance, partially offset by a deteriorating income account. The balance on goods trade was barely affected. The main reason for the improvement in the services balance are higher travel services exports due to the inclusion of expenditure by nonresident students enrolled in the off-shore medical school. The deterioration in the income account reflected higher estimated business services imports and dividends paid to foreign direct investors. Overall, the current account was revised upward by more than 10 percent of GDP for 2014-16.

Current Account: April 2017 WEO vs. July 2017 ECCU Revision		
	2016 (Percent of GDP)	
	April 2017 WEO	July 2017 ECCU 1/
Current Account	-14.6	-3.2
Trade	-12.4	3.7
Primary Income	-4.8	-5.8
Secondary Income	2.6	-1.2
Capital Account	7.2	3.5
Financial Account	7.1	0.9
Net Errors and Omissions	0.0	1.4
Source: ECCB and IMF staff estimates		
1/ Figures are first estimates that are likely to be revised.		

Uncertainty remains as the data continue to be refined. A technical assistance mission in April 2018 concluded that nonresident students' expenditure may have been overestimated and a future revision could worsen the current account.

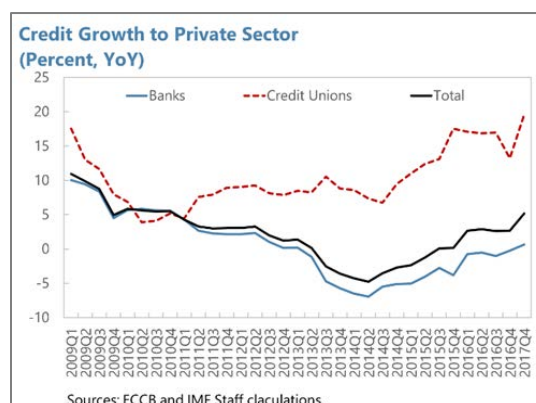
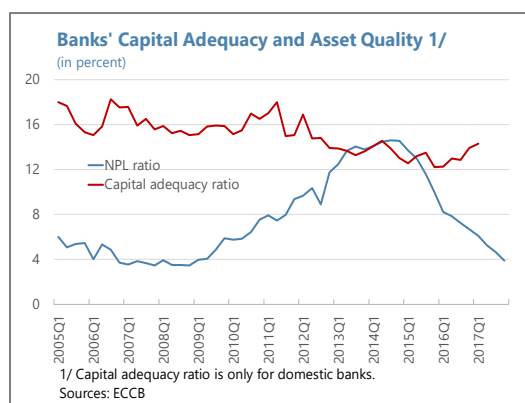
¹ Based on officially-published data on the CBI inflows, which are reported on the committed-amount basis.

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7. The primary fiscal surplus rose to 5¾ percent of GDP in 2017 supported by buoyant revenues and expenditure restraint. Robust economic growth and improved tax administration bolstered revenues. Current spending has been contained by the fiscal rules and continuation of the government's attrition policy. However, shortfalls in grant financing and institutional bottlenecks in project execution combined to constrain capital outlays to 50 percent of budget projections. The public debt fell to below 71 percent of GDP at end-2017 as the final phase of bond restructuring was completed. Progress has been made in reducing arrears, but some arrears to bilateral creditors (e.g., Algeria, Libya, and Trinidad and Tobago) have yet to be regularized. The 2018Q1 fiscal balance was 1.4 percent of GDP, slightly lower than in the same period of 2017. In March 2018 public sector employees received a one-time payment (0.07 percent of GDP) as part restoration of earnings foregone during the 2014-16 wage freeze.

Grenada's Fiscal Performance in 2017			
	Phase II Fiscal Rule	2017 Target	2017 Outcome
Period/Milestone	2017 until Debt/GDP reaches 55%		
Primary Balance Rule	3.5% of GDP surplus	4.3	5.7
Primary Expenditure Rule ¹	2% real growth cap	2.0	0.6
Wage Bill/GDP	9% of GDP ceiling	8.6	8.2
Public Debt/GDP			70.8
¹ Excludes grants and NTF funded capital spending. The expenditure rule of 2 percent was based on potential output growth estimated in 2014. Under the FRL, upon reaching phase III and every 5 years thereafter, potential growth and the debt stabilizing primary balance are to be re-estimated or recalibrated.			

8. Bank credit has stagnated but credit union lending is growing rapidly. Despite solid capital buffers, improving asset quality, robust deposit expansion, ample liquidity, and falling interest rates, bank credit growth was only marginally positive in 2017. Banks have started to see better business opportunities recently, however, and some of them are moving to increase lending. Credit union lending (which now makes up a quarter of total credit) grew by almost 20 percent in 2017.



Grenada: Heatmap of Banking Sector Soundness 1/																
Grenada	14Q1	2014Q2	2014Q3	2014Q4	2015Q1	2015Q2	2015Q3	2015Q4	2016Q1	2016Q2	2016Q3	2016Q4	2017Q1	2017Q2	2017Q3	2017Q4
Overall Banking Sector Rating	M	M	M	M	M	L	L	L	L	L	L	L	L	L	L	L
Credit cycle	L	L	L	L	L	L	L	L	L	L	L	L	L	L	L	L
Change in credit / GDP ratio (pp, annual)	(10.7)	(11.0)	(9.6)	(9.2)	(10.2)	(8.6)	(7.0)	(6.9)	(3.9)	(3.7)	(3.8)	(3.2)	(4.5)	(4.4)	(3.4)	(2.5)
Growth of credit / GDP (% annual)	(13.2)	(13.9)	(12.8)	(12.6)	(14.3)	(12.6)	(10.7)	(10.9)	(6.4)	(6.1)	(6.5)	(5.7)	(8.0)	(7.9)	(6.1)	(4.7)
Balance Sheet Soundness	M	M	M	M	M	L	L	L	L	L	L	L	L	L	L	L
Balance Sheet Structural Risk	L	L	L	L	L	L	L	L	L	L	L	L	L	L	L	L
Deposit-to-loan ratio	134.7	139.1	143.1	145.8	152.1	155.2	156.7	163.5	166.0	162.0	166.8	170.0	176.3	-	-	-
FX liabilities % (of total liabilities)	7.5	7.5	7.7	7.2	7.7	8.7	9.6	8.9	8.8	8.8	9.0	8.7	9.6	9.7	10.3	11.1
FX loans % (of total loans)	4.3	4.2	4.2	4.4	4.5	4.7	4.9	5.3	5.6	5.7	5.5	4.8	4.7	4.7	5.0	4.9
Balance Sheet Buffers	M	M	M	M	M	L	L	L	L	L	L	L	L	L	L	L
Leverage	M	M	M	M	M	M	M	M	M	M	M	M	M	M	M	M
Leverage ratio (%)	5.9	5.8	5.5	5.1	4.6	4.9	5.1	5.1	5.0	5.4	5.6	5.7	6.0	6.5	6.5	6.7
Profitability	H	H	H	H	H	L	L	L	L	L	L	L	L	L	L	L
ROA	(0.4)	(0.5)	(0.2)	(0.1)	(0.3)	0.1	0.6	1.5	1.7	1.8	1.8	1.5	1.4	1.3	1.3	1.1
ROE	(7.1)	(7.7)	(3.5)	(1.0)	(6.3)	1.0	12.9	31.3	34.3	35.8	34.2	28.4	25.6	22.4	20.5	17.2
Asset quality	M	M	M	M	L	L	L	L	L	L	L	L	L	L	L	L
NPL ratio	14.1	14.5	14.6	14.6	13.7	13.0	11.6	10.0	8.2	7.9	7.3	6.7	6.1	5.3	4.7	3.9
NPL ratio change (% annual)	13.2	5.9	3.9	5.5	(2.8)	(10.2)	(20.8)	(31.6)	(40.1)	(39.5)	(37.4)	(32.7)	(25.6)	(33.2)	(35.6)	(41.8)

1/ The indicators do not reflect the forthcoming prudential regulations or the introduction of IFRS9 and thus the map can potentially understate the provisioning needs and related risks.

9. Grenada's external position in 2017 was weaker than implied by medium-term fundamentals and desirable policies (Annex III). The current account deficit has grown as a result of a mostly private sector-led construction boom. The EBA-lite current account model suggests the cyclically adjusted current account is 4¾ percent of GDP below the current account norm. However, external debt is on a decreasing trend as the current account deficit is amply covered by FDI and capital transfers, which reduces staff's estimated current account gap to 2.5 percent of GDP. The other two approaches (external sustainability approach, real exchange rate model) also have useful complementary information that attenuates competitiveness concerns. The external sustainability approach suggests a current account that is about 2 percent of GDP below the level needed to bring Grenada's NIIP to -60 percent of GDP within 20 years, while the real effective exchange rate model shows Grenada to be around 8 percent undervalued. In any case, remaining data gaps inject uncertainty around the assessment (Box 1). The level of international reserves is at 180 percent of the IMF's reserve adequacy metric for credit-constrained economies. To resolve the remaining competitiveness gap, policies need to ensure a continued prudent fiscal position and contained nominal wage growth.

Grenada: External Balance Assessment (EBA) Estimates (2017, in percent/percent of GDP)					
	Current Account Norm	Current Account Baseline 1/	Current Account Gap 2/	Elasticity	REER gap 3/
Current Account Regression	-2.0	-6.7	-2.5	-0.41	6.0
External Sustainability Approach 4/	-4.5	-6.4	-1.9	-0.39	5.0
REER Regression	...	...	...	...	-8.2
1/ Baseline is 2017 for Current Account Regression approach and 2021 for External Sustainability Approach.					
2/ Current account norm was adjusted to reflect strong FDI and capital transfers.					
3/ Positive number suggests overvaluation.					
4/ The underlying scenario is reduction of net foreign liability to 60 percent of GDP in 20 years.					

OUTLOOK AND RISKS

10. The economy is expected to grow moderately faster than the long-term potential rate of 2¾ percent in the coming years, benefiting from a continuing U.S. expansion. The outlook assumes continued compliance with the FRL and further progress on supply-side and structural fiscal reforms. It also assumes that the authorities use forthcoming new inflows of financing to reduce public debt, through clearance of arrears or active debt management operations. The government's electoral promises on pensions and health care benefits are not explicitly incorporated into the baseline forecasts since they have yet to be costed (and, in any case, the authorities intend to honor the FRL expenditure rule).

- In 2018-19, the economy is projected to grow by 3½ percent benefiting from supportive global economic conditions, continued strength in construction, and a tourism sector that has shown itself to be competitive within the ECCU.
- Inflation should edge up in 2018 reflecting recent global energy price increases but stabilize at 2 percent thereafter.

Grenada: Medium-Term Scenario (In percent of GDP, unless otherwise noted)							
	Projections						
	2017	2018	2019	2020	2021	2022	2023
Real GDP growth (percent)	4.5	3.6	3.6	2.9	2.7	2.7	2.7
Inflation (percent, average)	0.9	2.6	1.8	2.0	2.0	2.0	2.0
Primary fiscal balance	5.7	5.6	5.3	5.5	3.6	2.1	1.6
Public sector gross debt	70.8	65.0	59.6	52.9	51.3	50.7	50.3
External current account balance	-6.7	-7.4	-7.5	-6.6	-6.4	-6.7	-6.6
Credit to GDP ratio	51.9	51.5	52.5	53.3	54.1	54.9	55.2

Sources: Grenada's authorities, ECCB, and Fund staff estimates.

- The primary fiscal surplus would remain at around 5½ percent of GDP through 2020 supporting continued rapid debt reduction.
- The current account deficit would rise moderately in 2018, reflecting higher energy costs, but then decline as imports linked to construction activity and energy prices moderate. After a protracted weakness, bank credit is expected to grow in 2018.
- In 2020-23 growth is expected to ease to 2¾ percent. Once the public debt ratio falls below 55 percent of GDP (projected for 2020) the FRL would allow for lower primary surpluses and the pace of public debt reduction would slow. The reduced fiscal surpluses are forecast to slightly add to the current account deficit in the outer years.

11. There are two-sided risks to the outlook. Risks linked to uncertainty about U.S. growth, prospects for global financial conditions (including the level of the U.S. dollar), the cost of external financing, and the strength of CBI inflows could push growth in either direction. On the downside, pressures on correspondent banking relationships could affect financial intermediation and natural disasters are an ever-present risk for Grenada. On the upside, a possibility of continued strength in attracting investment in tourism and education-related projects and a recently-announced oil and natural gas discovery could bolster the outlook. For the fiscal position, an adverse court judgment in the case of the Grenlec power company, a realization of fiscal risks from the Petrocaribe arrangement, or new initiatives on health care and pensions, if not well-managed, could call into question the FRL's spending growth rule, increase the debt-to-GDP path, and add to the current account deficit.

Authorities' Views

12. The authorities broadly shared the main elements of staff's outlook. They were of the view that the staff's estimates of potential growth could be revised further upward in light of their previous and ongoing reforms. They were cautiously optimistic about a strengthening in bank lending, especially because of the pipeline of non-FDI private sector construction projects. They noted that gross public debt would remain on a downward trajectory despite increases in external financing, some of which may go towards debt refinancing. On risks, they indicated that those arising from the new fiscal initiatives, including on pensions and health care, would be managed within the envelope defined by the FRL's parameters.

POLICY DISCUSSIONS

A. Fiscal Policy

13. The FRL's framework has usefully anchored fiscal performance and bolstered economic confidence. Compliance with the FRL has kept the public debt on a downward path, which has strengthened the credibility of the framework. The FRL has also underpinned advances in accountability and transparency including the recent creation of the Fiscal Responsibility Oversight Committee (FROC), an improved 2018 budget presentation, and the publication of a statement of fiscal risks and a fiscal compliance report. The authorities are committed to the FRL's limit on the growth in real primary spending and intend to monitor, and adjust downward if needed, the 2018 monthly budget allocations to adhere to this rule.² The government's 2018-2020 fiscal plan aims at maintaining a large primary surplus for this period.

14. There is scope to further strengthen the implementation of the FRL and its supporting elements. The authorities and the FROC highlighted the need for some adjustments to clarify the FRL's operational issues, including:

² The reduction primarily impacts the allocation for public sector investment program (PSIP) and related recurrent expenditures.

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- *Clarifying parameters and targets* (e.g., real primary spending calculations should be based on average CPI; the adjustment requirement to reach the 55 percent debt-to-GDP target within 3 years should kick in only after the threshold is reached for the first time; and the relationship between the two envisioned debt thresholds, of 55 and 60 percent of GDP, should be clarified).
- *Ensuring consistency with other laws and regulations* including: (i) the National Transformation Fund regulations (on the operations of the Contingency Fund), (ii) the Public Financial Management Act (on the definition of PPPs), and (iii) the Constitutional and Parliamentary procedures (on the timing of statement of progress toward compliance with fiscal rules).
- *Removing other ambiguities* (e.g., the tenure of FROC members and a more precise definition of public wage payments).

Staff agreed with the proposals to address ambiguities or gaps in the FRL's operational framework and ensure consistency with other legislation such as the PFM and Public Debt Management Laws. At the same time staff cautioned about the need to avoid material changes to the core FRL rules, notably the primary expenditure rule, so early in the implementation of the FRL.

15. Going forward, a more comprehensive review and revision of the FRL would be in order. Once the 55 percent of GDP debt ratio is achieved, the FRL envisions a recalibration of certain parameters that would significantly loosen the fiscal position. This increase in the available fiscal space would need to be well-managed to (i) create scope for high-quality spending on growth- and resilience-enhancing public infrastructure; (ii) tie the spending path to realistic improvements in the authorities' absorptive capacity; (iii) find the right balance between revenue and expenditure policy adjustments, and (iv) incentivize continued fiscal prudence even after the 55 percent of GDP limit is achieved in light of Grenada's inherent debt-sustainability risks. Staff recommended pursuing a comprehensive approach and engaging technical assistance from the IMF's fiscal affairs department to map out options in recalibrating the FRL. A comprehensive solution could give more fiscal space in the near-term to undertake high-quality infrastructure spending while containing the deficit in the outer years.

Grenada's Fiscal Responsibility Law			
	Phase I	Phase II	Phase III
Period/Milestone	2015-2016	2017 until Debt/GDP reaches 55%	After Debt/GDP reached 55%
Primary Balance Rule	ECF-supported program targets	3.5% of GDP surplus	Debt-stabilizing primary balance ^{1/}
Primary Expenditure Rule ^{2/}	2% real growth cap	2% real growth cap	Revised real potential growth cap
Wage Bill/GDP	9% of GDP ceiling	9% of GDP ceiling	9% of GDP ceiling
^{1/} Estimated at 1 percent of GDP until the public debt-to-GDP target of 55 percent is reached ^{2/} Excludes grants and NTF funded capital spending. The expenditure rule of 2 percent was based on potential output growth estimated in 2014. Under the FRL, upon reaching phase III and every 5 years thereafter, potential growth and the debt stabilizing primary balance are to be re-estimated or recalibrated.			

16. There is scope to improve the fiscal financing strategy and project implementation to lessen undue constraints on capital spending. The combination of bottlenecks to grant financing and limited external borrowing in the public debt strategy imply that public investment may be kept at relatively low levels in 2018-20. Greater grant-financing, including access to climate funds, would relieve restrictions on capital spending while still adhering to the FRL.³ Also, improving expenditure efficiency, including for project- and grant-mobilizing efforts, would lessen constraints on productive capital spending. PIMA-based analysis (Annex IV) points to significant scope to improve project planning, allocation, and implementation. Project implementation can also be facilitated by removing institutional obstacles such as securing land titles and ensuring adequate support by technical and engineering services and personnel.

17. Structural fiscal reforms are essential to support fiscal policy and facilitate more vibrant and inclusive growth and build resilience to shocks. Priorities include:

- *Improving the efficiency and right-sizing the public service.* The FRL's 9 percent of GDP wage bill ceiling should be supported by the implementation of the public sector's management reform strategy that was approved in early-2017. Progress has been made towards (i) establishing a framework for wage negotiations and (ii) facilitating capacity development through training. Broadening the use of quantitative performance targets and output indicators of ministries would improve transparency, accountability, and efficiency. The envisioned functional review and job analysis and evaluation should be used to underpin strategic staffing needs assessments.
- *Addressing aging-related spending.* The authorities are considering initiatives to top-up pensions to public servants and provide national health care. While costs are yet to be determined, they secured a commitment from labor unions that the FRL's rules would be honored. The National Insurance Scheme (NIS), the current provider of social security to both public and private employees, will administer both initiatives. The 2012 actuarial review of the NIS pension scheme found an actuarial imbalance of 117 percent of GDP in present value terms, suggesting the need for urgent parametric reforms. These should include raising the retirement age from 60 to 65 and increasing the payroll contribution rate from 9 to 11 percent of wages. Staff advised addressing the existing imbalances in the NIS through parametric reforms and, for the new initiatives, applying the FRL's "balanced budget" provision (i.e. requiring the government to identify the fiscal cost and find revenue or spending offsets to finance these new programs).
- *Strengthening the existing social assistance programs.* The core assistance program, Support for Education, Employment and Development (SEED), achieved its benchmark coverage in 2017 following the improvements in administration and the IT system. This framework should be deployed to enhance the targeting of other social assistance programs to the poor and vulnerable drawing on the Grenada Living Conditions Index, which can be updated with the results of the Country Poverty Assessment expected later this year.

³ Grant-financed capital spending is excluded from the primary expenditure growth rule.

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- *Further reforming State-Owned Enterprises (SOEs) to strengthen productivity and minimize fiscal risks.* The monitoring of SOEs continued in 2017 with all 24 entities except the Grenada Postal Corporation (GPC) providing timely financial reports. Three entities had marginal losses (0.05 percent of GDP). The authorities' efforts to establish key SOE performance indicators are commendable and should be complemented by re-activating the oversight committee that would provide advice on SOE operations and investment needs. The second phase of reform—to review the tariffs to reflect cost recovery and investment needs — is overdue and should proceed expeditiously. The restructuring of the Concrete & Emulsion Production Corporation (GCEPC) and the GPC has not been completed as strategic partners are still being sought; greater transparency about the process is needed. PDV Grenada Ltd., a joint venture between entities controlled by Venezuela's PDVSA and Grenada's government is insolvent.⁴ The operationalization of the Public Utilities Regulatory Commission to enable competition and transparency is now expected by end-2018. Staff recommended, in line with recent TA from CARTAC, the elaboration of annual fiscal risk assessments of all SOEs based on audited financial statements.
- *Pursuing further public financial management (PFM) reforms.* Efforts by the Treasury Department to restructure its operations and enhance its capacity to enable compliance with the PFM law and regulations are underway and planned to be completed in 2019. As highlighted by the 2015 Public Expenditure and Financial Accountability assessment, enhancing the internal audit function for value-for-money audits of risky projects and improving IT systems audits are critical priorities. Establishing and monitoring a physical asset registry would facilitate management of the public capital stock and the assessment of losses following natural disasters.
- *Improving tax administration.* Revenue mobilization and administrative efficiency of the Inland Revenue Division (IRD) and Customs and Excise Division (CED) could be strengthened by addressing staffing shortages and improving human resource and risk management, compliance, and enforcement systems. Reducing the stock of outstanding tax arrears within a timebound period and replacing outdated technologies are key tasks. The CED should take the lead in implementing the WTO's Trade Facilitation Agreement, increasing communication with importers, and fully deploying the automated system for customs data.
- *Implementing base-broadening, equitable, and growth-friendly tax policy changes.* The authorities are considering the reduction in the rates on PIT and CIT by 5 percentage points (announced in the 2018 budget speech). Staff estimated an annual loss of around 0.6-0.7 percent of GDP and agreed that these measures would reduce the burden on households and the corporate sector. Staff also indicated, consistent with earlier FAD advice, the need for complementary measures to facilitate base-broadening and inclusive growth. These

⁴ See IMF Country Report No. 14/196 for background information on PDV Grenada.

could include taxing foreign earned income and capital incomes or providing personal or child tax credits.

- *Improving transparency to underpin efficient and responsible fiscal policy.* It would be essential to (i) strengthen the FROC's capacity, including in the context of the envisioned memorandum of understanding between it and the Ministry of Finance; (ii) better account for public debt and contingent liabilities (including those from SOEs and PDV Grenada); and (iii) further improve mechanisms for monitoring the proceeds of CBI inflows and recording all flows through the Consolidated Fund on budget to improve fiscal management and reporting. Lastly, the envisioned saving of a portion of the receipts from the National Transformation Fund into a dedicated natural disaster savings fund should be fully operationalized to complement other financing options for relief, rebuilding, and resilience-enhancing efforts.

18. Grenada should urgently work to resolve its remaining bilateral arrears. Grenada's debt situation has greatly improved, but upgrading its current "in distress" classification requires that bilateral arrears be regularized. Staff was encouraged by the authorities' commitment to continue to adhere to the payment schedule for the arrears that have been regularized and advised that the government should redouble its negotiating efforts with the three creditors with which it has arrears and more actively pursue asset-liability operations given the substantial expected external financing inflows in the near term.

Authorities' views

19. The authorities agreed that the FRL was key to their strong fiscal performance and they underlined their commitment to its rules. They reiterated however that a review of the fiscal responsibility legislation was necessary to ensure that the fiscal parameters are not inhibitors to economic growth and it is consistent with other laws and government policies. They welcomed the possibility of technical assistance on this from the Fund. The authorities noted that the planned pensions and health care expansions were critical to the long-standing dialogue with social partners to address social problems and inequities. There was agreement among the key domestic stakeholders that their costs needed to fit within the framework of the FRL and of fiscal sustainability more generally. The authorities indicated that the PIT and CIT cuts were the only tax policy changes they were considering, with implementation expected in 2019 provided that the FRL's primary balance target is secured as the impact of the expenditure initiatives is internalized. They further indicated that they were actively working to regularize arrears with the three remaining bilateral creditors, but were encountering difficulties, including being unable to establish sustained communication with one of the creditor countries due to political circumstances. They were committed to fully honoring their rescheduled debt obligations and exploring options for more active asset/liability operations and other steps to further improve their debt management capacity.

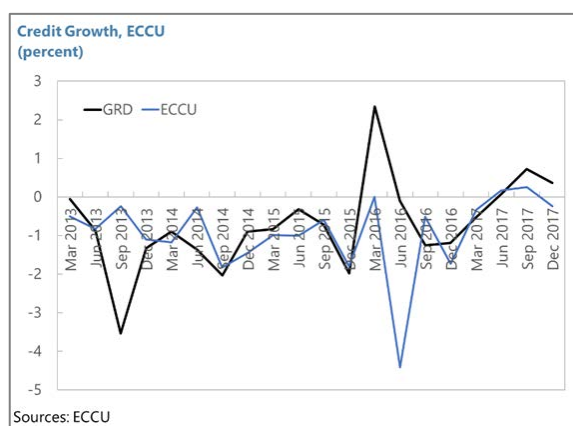
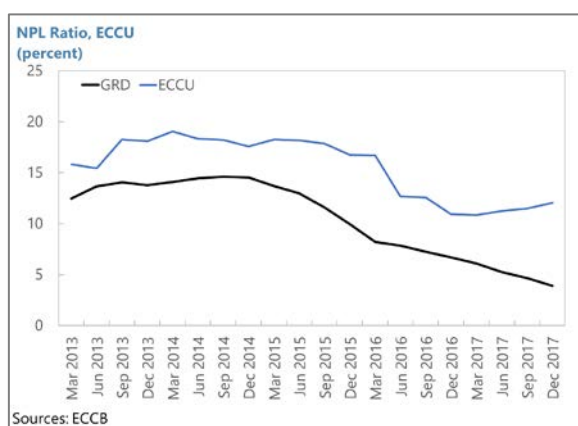
20. On structural fiscal reforms, the authorities reaffirmed their intention to continue making progress with support from technical assistance. They agreed that public sector modernization was critical but noted that progress was hampered by capacity constraints. They

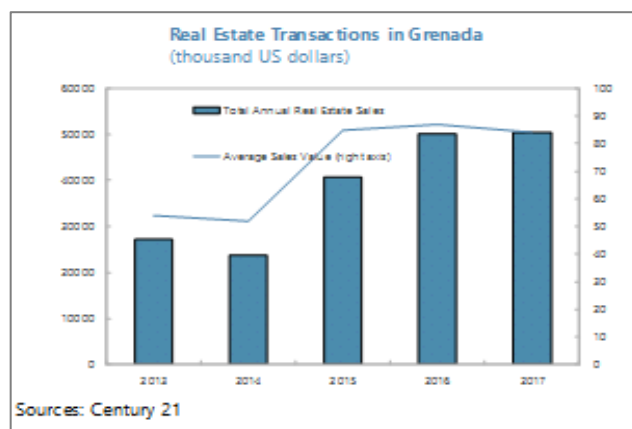
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noted that the World Bank would provide support for functional reviews and wage setting processes slated to be completed in 2020. On public investment, they indicated that the ongoing restructuring of the Ministry of Works would improve project implementation and coordination with executing agencies, while refocusing project planning at the Ministry of Finance would address the shortcomings in public investment management. The authorities highlighted successes in SOE management and surveillance and intended to build on the reforms. They acknowledged that the second phase of the SOE reforms (which primarily involves tariff review) was progressing slowly and were committed to advancing the process. They believed that the fiscal risks from the operations of PDV Grenada Ltd. would be limited. The authorities highlighted plans to address the leakages in revenue mobilization at the IRD and CED and strengthen compliance to substantially improve the tax take and its fairness. They also thought that a broad stock-taking of the design of the tax system by FAD experts was needed.

B. Financial Stability

21. The rapid shift in credit provision from banks to credit unions should be matched by timely actions to control risks to financial stability and growth. Banks have undergone a multi-year restructuring and deleveraging with the process of NPL disposal being facilitated by economic growth, an improved insolvency framework, and rising property values. Banks are now well-placed to exploit new business opportunities but have been moving gradually to expand. In the meantime, credit unions have moved to fill the gap in the provision of mortgage and personal loans. This shift in lending activity gives rise to financial stability concerns, including regulatory arbitrage, as the oversight and availability of data on credit union activities is weaker. Furthermore, regional prudential regulations on valuation and provisioning and the introduction of IFRS9, expected later this year, will likely raise provisioning requirements for domestic financial institutions. Thus, there is a need to continually re-assess the regulatory and supervisory framework for the entire financial system. The ECCU is taking steps toward the regional harmonization of regulations and oversight of the non-bank financial sector. An acceleration of this process would help reduce potential financial stability risks in Grenada.





22. There is scope to upgrade the system's oversight, especially of non-bank financial institutions, which are under the purview of the local regulator:

- **Banks.** With banking supervision and regulation being conducted at the ECCU level, the authorities' priority is to better understand the links between banks, credit unions and insurance companies, particularly through deposits, and closely cooperate with the ECCB on AML/CFT aspects of bank supervision (a Memorandum of Understanding has been agreed between the ECCB and GARFIN).
- **Non-bank institutions.** The local regulator should be further strengthened to better monitor risks. This entails intensified regulation and supervision of credit unions including proactively enforcing the 10 percent capital requirement, revamping reporting to collect more granular loan data, enhancing asset quality reviews, and conducting stress tests of all credit unions and insurance companies. These efforts are being supported by ongoing technical assistance from CARTAC.
- **Correspondent banking relationships (CBRs) and AML/CFT.** Grenadian banks have not had a meaningful loss of CBRs but there are risks that non-bank financial institutions may lose access to banks based on AML/CFT concerns. Ensuring compliance with AML/CFT regulations at all levels and strict enforcement of the due diligence process of the CBI program are critical for Grenada's continued stable access to cross-border bank payments.

Authorities' views

23. The authorities agreed that the rapid lending growth in credit unions warranted close monitoring. They are aware of the challenges in enhancing regulation and supervision of non-bank financial institutions and are taking steps to improve data collection and dissemination, update financial stability indicators, and start regular stress testing. The authorities expressed confidence in their ongoing efforts on AML/CFT, including information exchange and joint inspections with the ECCB. They were also committed to maintaining the integrity of the CBI program. They hoped that legislation to formalize the annual registration of entities for AML/CFT purposes would be passed soon (which would help identify AML/CFT risks at an early stage).

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C. Supply Side Reforms

24. Raising potential growth hinges on improving productivity and increasing resilience to shocks. The continued strength in growth and investment is encouraging but it has been driven in significant measure by temporary factors (e.g., increases in construction of several resorts). However, as documented in the 2016 Article IV Consultation report, long-term productivity growth has been weak. Productivity should be enhanced through improving the business environment and product market regulation and implementing well-designed sectoral strategies. Close attention to competitiveness is needed to avoid FDI and CBI inflows overheating the economy and accelerating wage growth beyond productivity gains. There is significant potential for further employment gains which would spread the benefits of growth to a larger share of the population. Finally, greater resilience to natural disasters would cushion the detrimental impact of shocks on output.

25. Staff Stressed Policy Priorities in the Following Areas:

- **Business environment and productivity.** Despite recent progress, notably on investment promotion and strengthening insolvency processes, there remain gaps in the business environment, including property registration, ease of paying taxes, and investor protection. Enhancing corporate governance and transparency, facilitating business-friendly tax and customs procedures, developing a credit registry, and improving property rights and registration (e.g., land bank) would help catalyze progress.
- **Labor market.** Addressing the key problem of skills mismatches (Box 2) will require upgrading education and training, through (i) focusing school-level education to improve math and English scores; (ii) putting greater priority to vocational education; (iii) maximizing the opportunities offered by St. George's university, and (iv) developing flexible training programs to better mirror the dynamic employment structure of the economy.

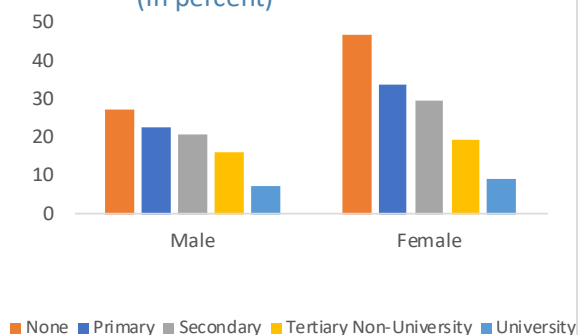
Box. 2. Labor Market Developments

Grenada's unemployment rate has declined from 40 percent in 2013 to 23½ percent in 2017 but it remains high. Employment grew briskly in 2017, though temporary factors, such as increased use of seasonal public sector-related jobs, contributed. Unemployment is particularly high among the young (40 percent) and women (27 percent).

The high unemployment is primarily structural and related to skill mismatches. The unemployed are largely long-term (50 percent are out of work for over 12-months) and concentrated among less-skilled workers (secondary or lesser-educated account for 90 percent of the unemployed). Employers' surveys report significant skill deficiencies, and lack of qualified applicants for jobs requiring technical proficiency (e.g., engineering) and managerial skills.

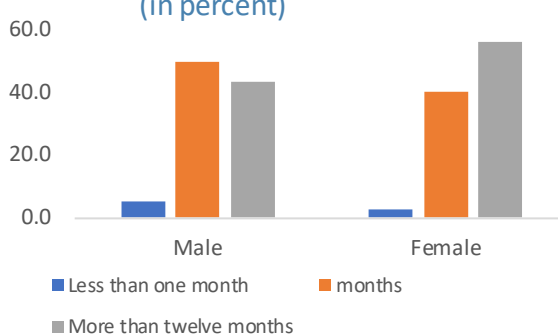
Enhancing education attainment and training should dent unemployment across the board. Data and evidence on vacancies suggest that more skilled applicants would be more successful in finding jobs. Greater education should also help boost female employment, thereby addressing the gender gap in the labor market.

Unemployment rate by level of Education and Gender 2017
(in percent)



Source: Labor force survey (Grenada, 2017)

Unemployed by Length of Time Seeking Job by Gender 2017
(in percent)



Source: Labor force survey (Grenada, 2017)

- **Sectoral policies.** There is scope to better capitalize on Grenada's comparative advantage in several sectors:
 - (i) *Tourism*, by further enhancing its links with other sectors (medical tourism, agri-tourism, and sports and maritime tourism);
 - (ii) *Agriculture*, by introducing better land use policies, investing in infrastructure and logistics, and enhancing market access (including to hotels and ports);
 - (iii) *Energy*: the recent oil and natural gas discovery, if significant, would require a suitable framework to manage these resources. Renewable energy projects (particularly wind, geothermal, and solar) should be accelerated and incentivized through facilitating entry and suitable regulation.

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- **Inclusive growth.** The 2014-18 Growth and Poverty Reduction Strategy is set to expire. The strategy should be followed by a successor medium-term plan to operationalize progress toward the long-term 2030 Development Plan. The plans should provide strategic direction and specific time-bound deliverables to tackle growth and poverty challenges.
- **Climate resilience.** Staff commended the authorities for pro-active steps on this issue, including at the regional level (Box 3). The recent creation of a new Ministry dedicated to climate resilience, adoption of several key policy documents, recent success in securing financing from the Green Climate Fund, and Grenada's planned participation in the IMF's Climate Change Policy Assessment initiative reflect the authorities' commitment to progress in this area.

Box 3. Climate Change Preparedness and Resilience to Natural Disasters

Grenada is advancing plans and strengthening institutions to address climate change. The National Climate Change Policy (NCCP 2017) builds on the prior 2007 long-term action plan. It identifies (i) updated objectives and remaining institutional gaps and (ii) priority investments for critical infrastructure, land use, and food security. The policy accommodates Grenada's commitment to the UN's Framework Convention on Climate Change (UNFCCC 2011) and CARICOM's framework for resilience to climate change (2009). In 2018 a Ministry of Climate Resilience, the Environment, Forestry, Fisheries, Disaster Management & Information was established to improve planning, coordination, and implementation.

Adoption of supportive policies is underway. The NCCCP will be aligned with other policies and plans. A National Climate Change Adaptation Plan (draft NCCAP 2017) provides a framework for building climate resilience with guidance on managing risks and responses and costing of actions that complement Grenada's Intended Nationally Determined Contributions (INDC 2015) report to the UNFCCC. A National Land Use Policy and Natural Resource Management Bill were drafted in 2017. Building codes were updated in 2016, but they have not yet been implemented. Physical Development Plans (2003), the Land Acquisition Act, Land Development Regulations, and the draft Environmental Management Legislation and Regulations still need to be reviewed and updated. The recent introduction of systematic screenings of public investment projects at the design phase for climate change risks is welcome.

Access to financing remains a critical bottleneck. The high debt and limited capacity to plan and implement projects hamper financing. Encouragingly, Grenada has recently been able to access the Green Climate Fund grants for pilot projects (about 1 percent of GDP) aimed at strengthening water resource management. Grenada has also applied for financing to build capacity at the National Designated Authority for climate change adaptation. It is also developing a funding instrument to bundle small-scale community adaptation projects. Grenada's PPP policy framework could be leveraged for well-designed adaptation projects. Finally, receipts of the CBI's National Transformation Fund could also be allocated towards adaptation projects and building up a public disaster fund.

Authorities' views

26. The authorities agreed that raising potential growth was a key priority and stressed the need to boost pro-growth reforms and public sector efficiency while re-examining fiscal and other constraints that can hold back investment. They highlighted continuing successes of social partnership in Grenada and thought these could be leveraged through a greater focus on

growth-related issues and inclusive growth. The authorities explained plans to further improve the business environment, including through more efficient and business-friendly tax and customs procedures. On the labor market, they underscored the need and ongoing efforts to boost youth employment, agreeing with the focus on results-based education and training, particularly in vocational areas. They re-affirmed the need to boost infrastructure and resilience-related investment, including through exploring options for new projects financed by grants and concessional loans and looked forward to the planned climate change policy assessment in helping them to further prioritize and catalyze this work.

D. Other Issues

27. Statistics. Upgraded economic statistics are essential for better identifying policy priorities and giving confidence to investors. Tasks include: (i) improving fiscal and public debt statistics (based on extended coverage of the public sector, including of “covered public entities” as envisioned in the FRL); (ii) completing the compilation of pre-2014 BOP data under BPM6; (iii) updating data on poverty and the income distribution (envisioned to be completed by end-2019); and (iv) publishing GDP on a quarterly basis (the time series has already been elaborated and could improve timely decision-making).

Authorities’ Views

28. The authorities agreed with these priorities and indicated plans to address them in the near term.

29. The 2016 update safeguards assessment found that the ECCB continues to maintain a governance framework that provides for independent oversight. Transparency in financial reporting has been maintained and the external audit mechanism is sound. The ECCB has restructured the internal audit function and established an independent risk management unit in line with leading international practices.

STAFF APPRAISAL

30. Economic and fiscal performance has continued to exceed expectations. The Grenadian economy has been growing robustly with strong performance of construction, tourism and private education. The fiscal situation improved further in 2017, and the government continues to overperform the FRL targets. The public debt ratio fell by around 11 percentage points of GDP in 2017 reflecting the strong growth and fiscal position, as well as the completion of the final phase of bond restructuring. FDI was 8½ percent of GDP in 2017. As such, the authorities are to be commended for the policies and reforms that underpin these gains.

31. Potential growth needs strengthening. Growth potential is held back by Grenada’s susceptibility to economic shocks and natural disasters, insufficient labor skills, high energy and other input costs, a relatively undiversified economy, red tape, and an inefficient public sector. Unemployment at 23½ percent is still high and poverty remains an important social issue. The

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elevated external deficits highlight lingering concerns linked to productivity and competitiveness, as external position in 2017 was weaker than implied by medium-term fundamentals and desirable policies. Action is needed to reduce red-tape and bureaucracy, address weaknesses in planning, execution and monitoring of public infrastructure spending, ensure contained wage growth, and reduce the skills gaps.

32. Careful planning is needed to improve the FRL while ensuring that the fiscal rules continue to be both credible and beneficial for the economy. Maintaining the FRL's rules-based framework is essential to support policy credibility. There is scope to quickly improve the FRL's operational aspects but more substantive changes to the framework should be approached as part of a comprehensive plan that balances debt reduction with the need to create fiscal space for high-quality infrastructure spending. The recent initiatives on pensions and health care should be implemented in a way that is consistent with the FRL's deficit and expenditure rules.

33. Oversight of non-bank financial institutions should be strengthened. Supervision of credit unions and insurance companies should be further improved and steps should be taken toward a single regional non-bank supervisor. Ensuring compliance with AML/CFT regulations at all levels, including strict enforcement of the due diligence process of the Citizenship-by-Investment program, is key for Grenada's continued access to stable cross-border payments.

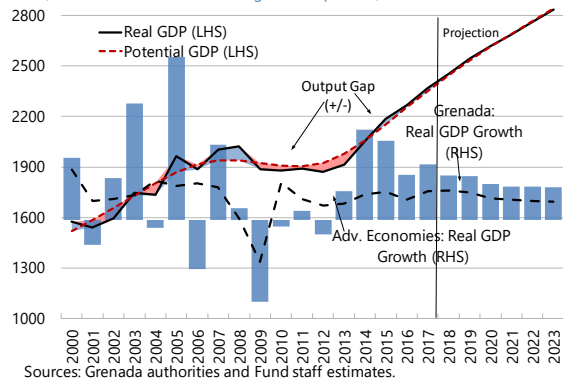
34. Staff recommends that the next Article IV Consultation with Grenada be held on the standard 12-month cycle.

Figure 1. Grenada: Recent Economic Developments

The growth momentum in 2017 was strong and above its estimated potential...

Actual and Potential Real GDP

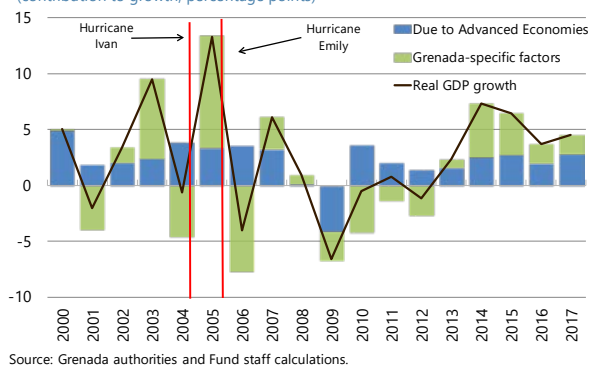
(levels in millions of 2006 EC\$, growth in percent)



...increasingly helped by external tailwinds

Economic Growth

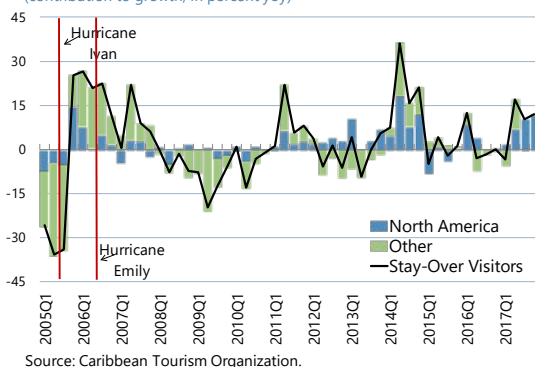
(contribution to growth, percentage points)



...with a pick-up in tourism demand and related activity in construction

Tourist Arrival Growth by Country

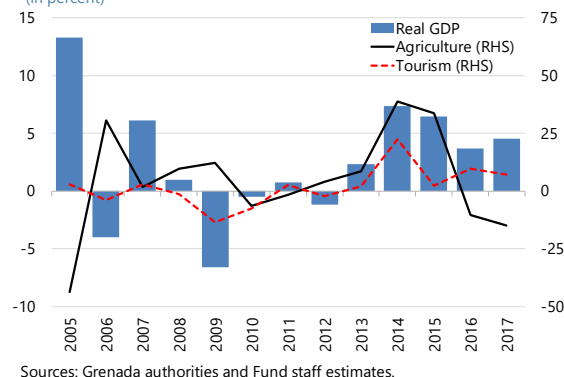
(contribution to growth, in percent yoy)



...but offset by continued weather-related weakness in agriculture.

Economic Growth

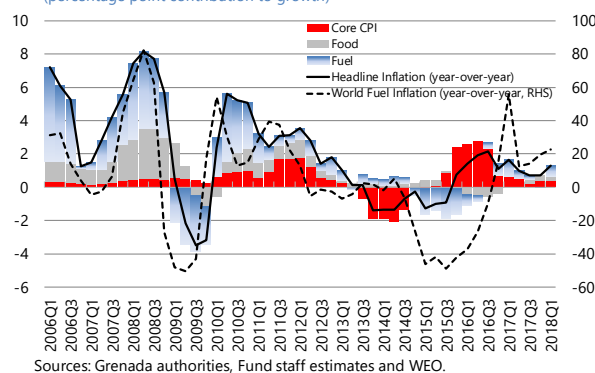
(in percent)



After a pick-up from a jump in telecom prices in 2016, inflation moderated in 2017....

Inflation

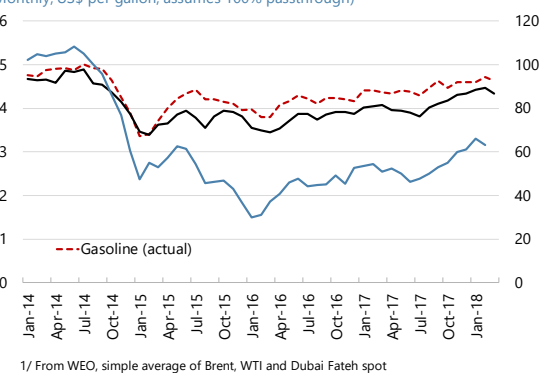
(percentage point contribution to growth)



...while fuel price adjustments continue to reflect world oil price trends

Retail Petroleum Product Prices

(Monthly, US\$ per gallon, assumes 100% passthrough)

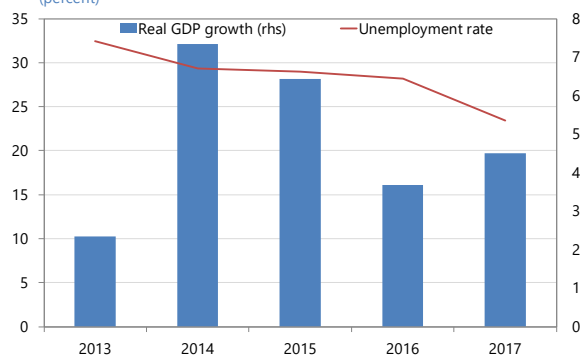


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Figure 2. Grenada: Unemployment and the Labor Market

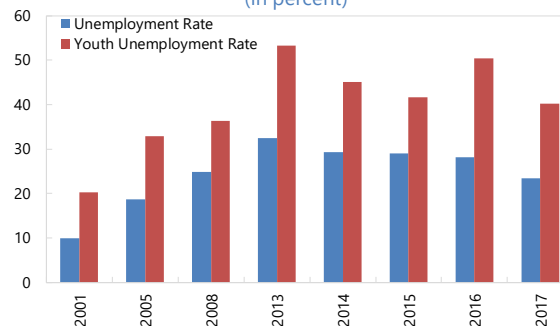
Unemployment has been declining but remains high.

Unemployment Rate and Economic Growth
(percent)



Youth unemployment has been well above average, but it also fell substantially in 2017.

Unemployment Rate
(in percent)



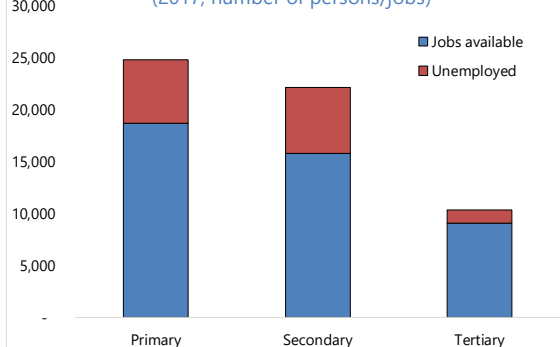
Labor force participation has been receding slightly...

Labor Force



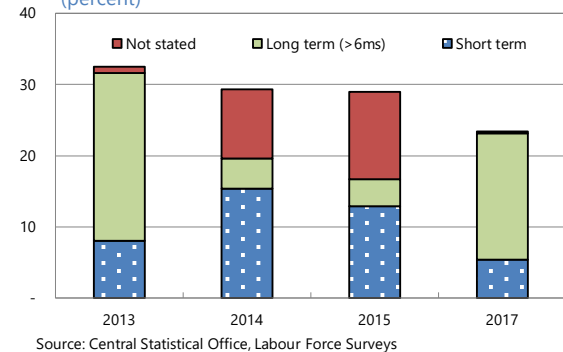
... employment rate depends on the level of education...

Job Supply vs Demand by Education
(2017, number of persons/jobs)



... but the duration unemployment is predominantly long-term.

Unemployment Rate By Duration
(percent)



High unemployment among the less-educated suggests a need of skill upgrading.

Unemployed By Education Level
(2017, percent of total)

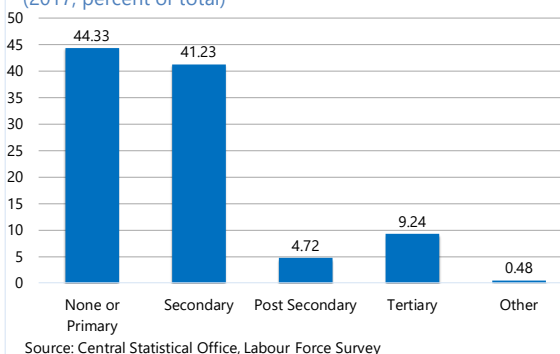
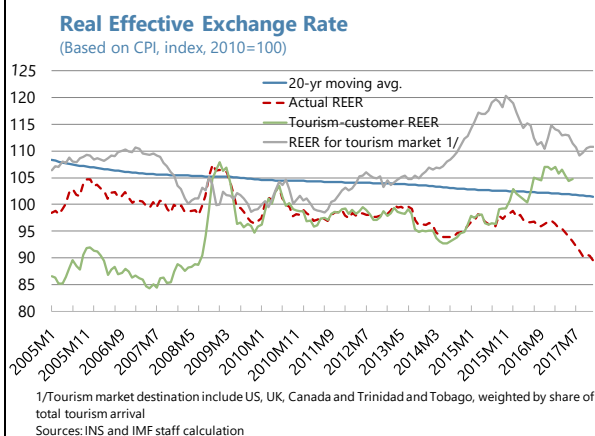
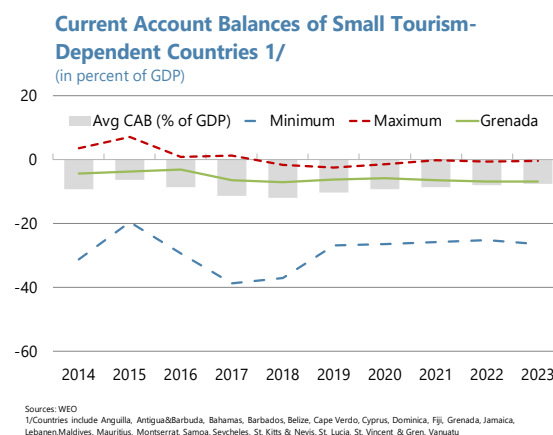


Figure 3. Grenada: External Developments

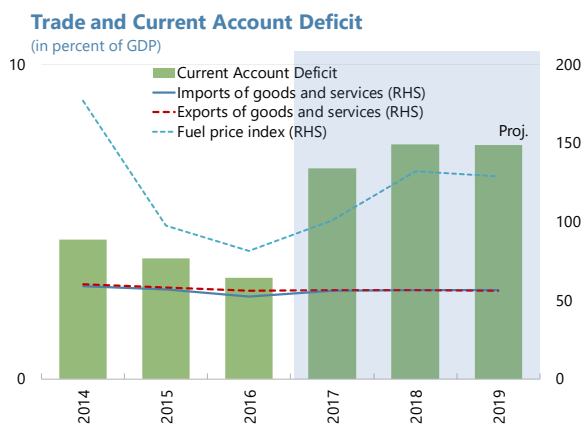
The real effective exchange rate has been declining



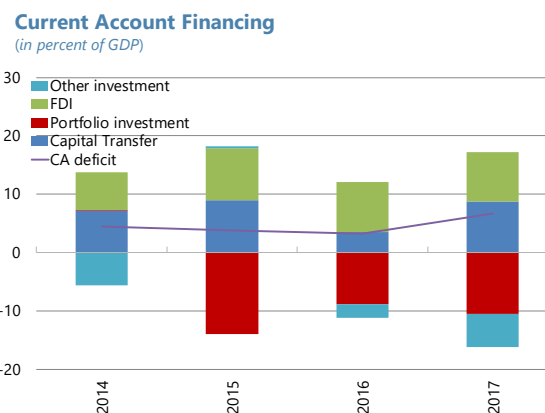
While the current account deficit is projected to remain close to comparator average



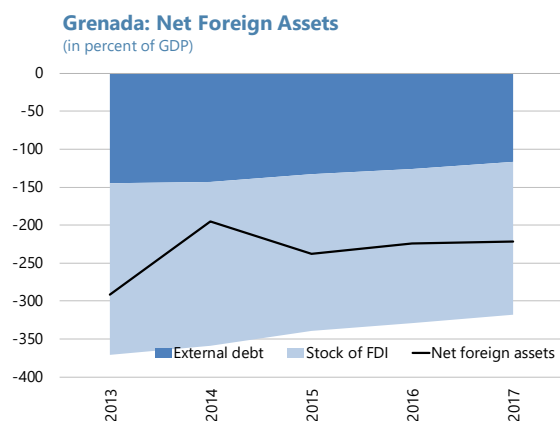
The current account deficit in 2018-19 is expected to stay at the higher level observed in 2017....



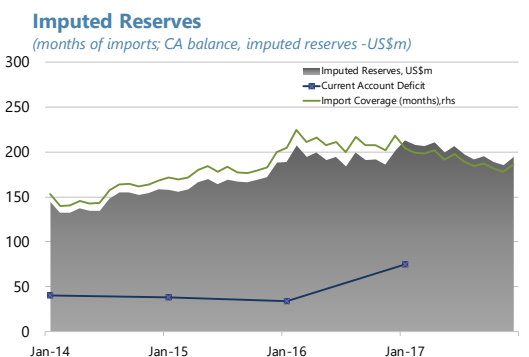
The current account deficit is more than fully financed by FDI and capital transfers, despite sizable portfolio outflows



The net foreign asset position is gradually improving ...



... and imputed reserves remain at around 4 months of imports



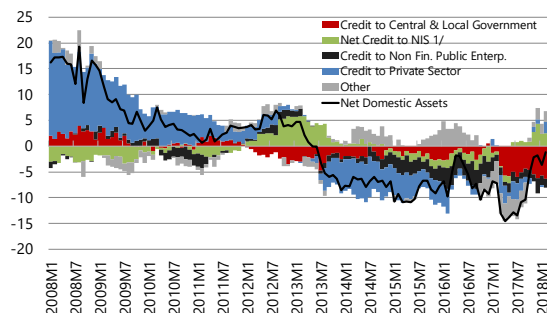
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Figure 4. Grenada: Monetary Developments

Bank's deleveraging cycle is ending

Commercial Banks' Net Domestic Assets

(contribution to growth, y-o-y)



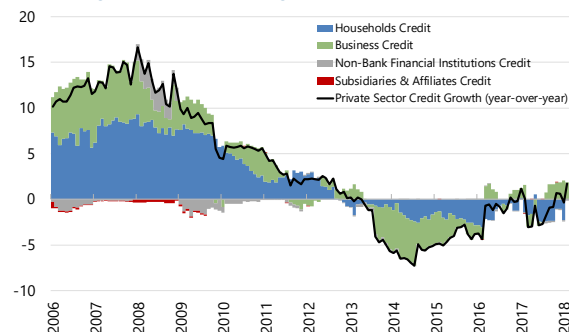
Sources: ECCB

1/ Net credit to NIS is negative in levels meaning that the NIS is holding deposits, so if this item is growing it means that the NIS is depleting its deposits.

Bank credit to the private sector has so far been weak

Credit growth

(percentage point contribution to growth)

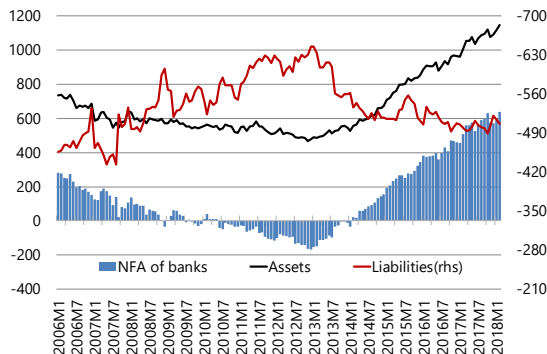


Sources: Grenada authorities and Fund staff estimates.

In the meantime, excess liquidity continues to be placed abroad ...

Commercial Banks Net Foreign Assets

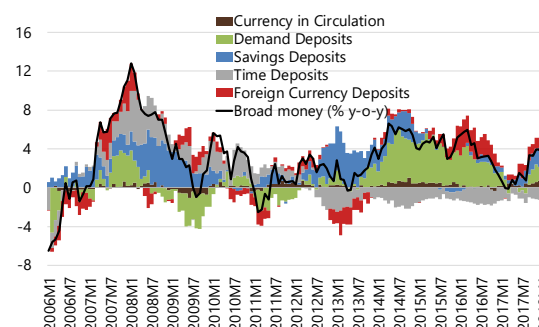
(in millions of EC\$)



.... In a context of ample liquidity

Components of Broad Money Growth (M2)

(contribution to growth, y-o-y)

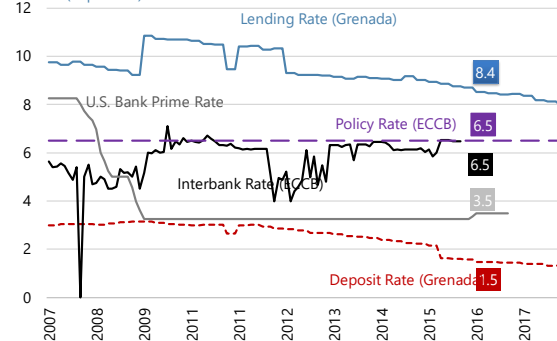


Sources: ECCB and Fund staff estimates.

.... while loan and deposit rates have steadily declined

Interest Rates

(in percent)



Sources: ECCB and Haver Analytics.

... and in unremunerated excess reserves at the central bank.

Deposits and Bank Excess Reserves

(Deposit: indices, 100=sample average for each deposit type; Excess Reserves: percent of total deposits)

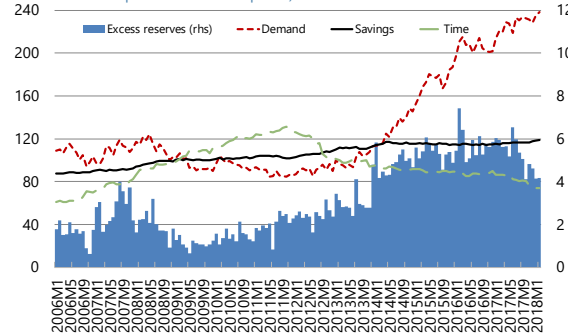
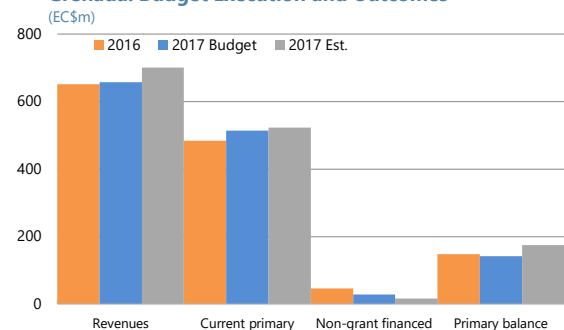


Figure 5. Grenada: Fiscal Developments

Fiscal deficit reduction in 2017 was larger than envisaged

....

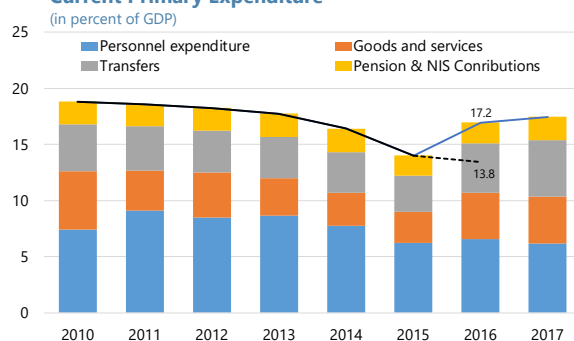
Grenada: Budget Execution and Outcomes



1/ Higher than budget non-grant financed capital spending is allowed by the program in the case of revenue overperformance.

.... and spending was kept under control ...

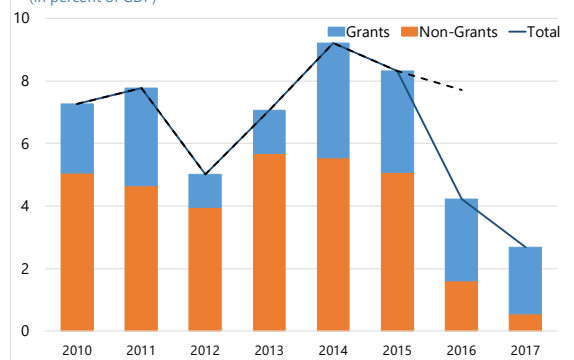
Current Primary Expenditure



1/ In 2016 spending estimated at 3.5 percent of GDP was reclassified from capital expenditure to current expenditure in the new chart of accounts (GFSM 2001). Dotted line shows old chart of accounts classification.

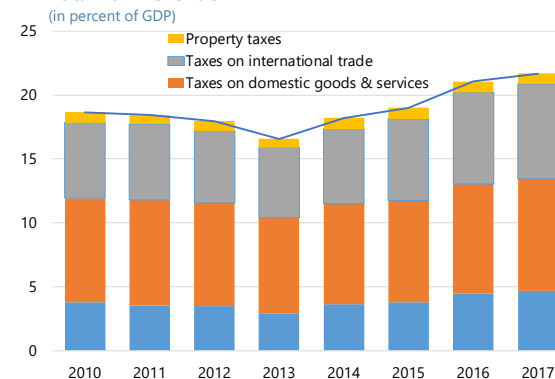
... Capital expenditure declined significantly...

Capital Expenditure



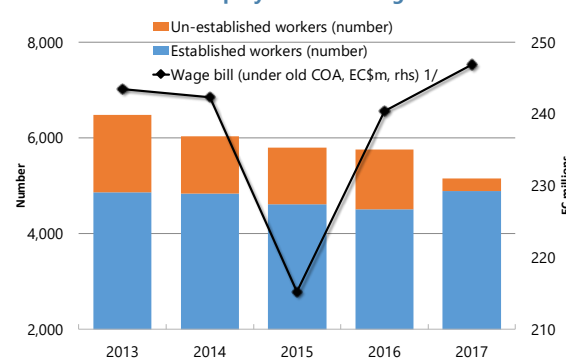
.... as tax revenue over performed partially because of robust economic growth ...

Total Tax Revenue



.... in part due to government's attrition policy that helped keep wage spending in check 1/.

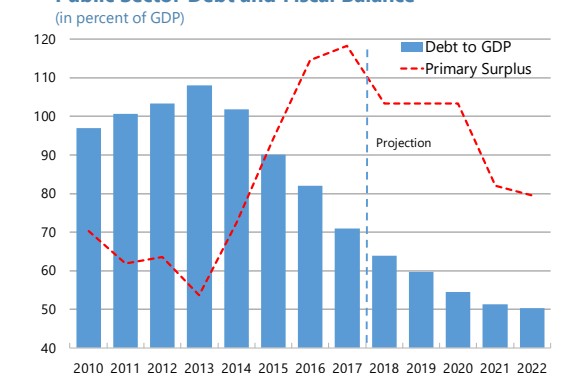
Grenada: Public Employment and Wage Bill



1/ 2016 and 2017 includes retroactive payment of wage increments.

...while the stronger fiscal position together with high GDP growth and debt restructuring, reduced public debt.

Public Sector Debt and Fiscal Balance



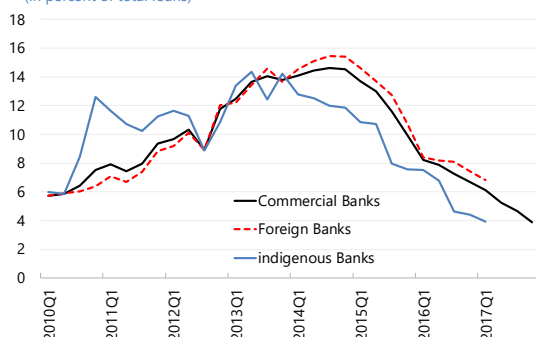
GRENADA

Figure 6. Grenada: Financial Sector Developments

Banks continue to strengthen balance sheets.....

Nonperforming Loans

(in percent of total loans)

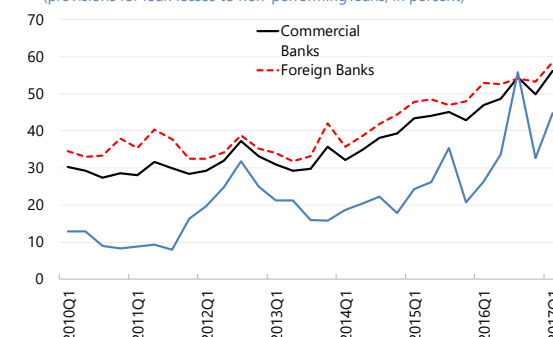


Sources: ECCB.

.... and build up provisioning levels

Provisions to Nonperforming Loans

(provisions for loan losses to non-performing loans, in percent)

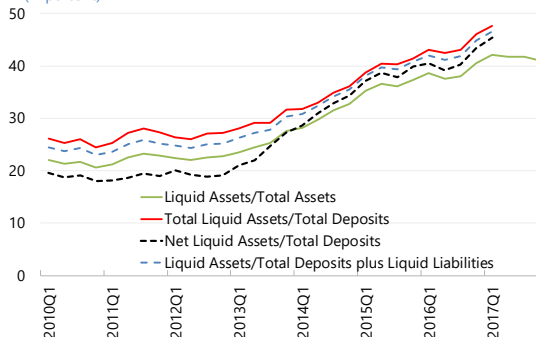


Sources: ECCB.

Ample liquidity continues to be maintained

Commercial Banks' Liquidity

(in percent)

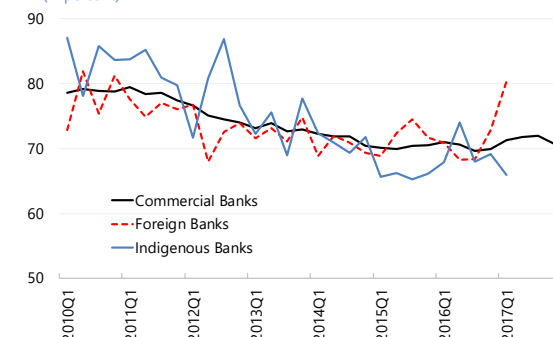


Sources: ECCB.

....but further placed in low yielding assets

Interest Margin/Gross Income

(in percent)

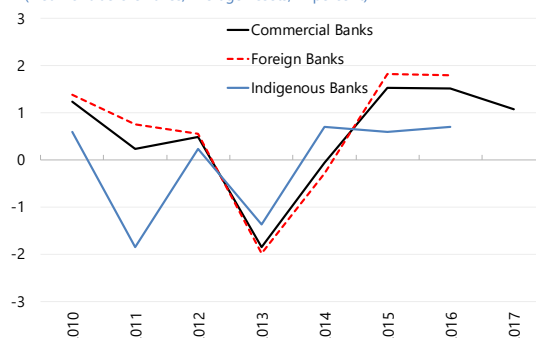


Sources: ECCB.

Profitability declined moderately in 2017...

Return on Average Assets

(Net Profit before Taxes/Average Assets, in percent)

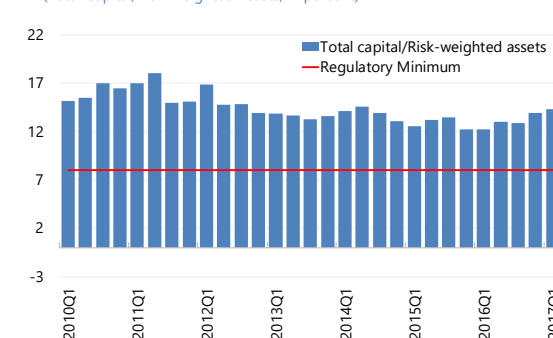


Sources: ECCB.

Capital remains well above the regulatory minimum.

Commercial Banks' Capital Adequacy

(Total Capital/Risk Weighted Assets, in percent)



Sources: ECCB.

Table 1. Grenada: Economic and Financial Indicators 2014–2023

Rank in UNDP Human Development Index out of 179 countries (2016)	79	Infant mortality rate per '000 births (2016)									9.9
Life expectancy at birth in years (2014)	73	Adult illiteracy rate in percent (2004)									4
GDP per capita in US\$ (2017)	10,390	Poverty headcount index (2008)									38
Population in millions (2016)	0.11	Unemployment rate (2017)									23.6
	2014	2015	2016	2017	2018	2019	2020	2021	2022	2023	
	Projections										
	(Annual percentage change, unless otherwise specified)										
Output and prices											
Real GDP	7.3	6.4	3.7	4.5	3.6	3.6	2.9	2.7	2.7	2.7	
Nominal GDP	8.2	9.4	5.9	5.4	6.4	5.8	5.2	5.0	5.0	5.0	
Consumer prices, end of period	-0.6	1.1	0.9	0.5	3.0	2.0	2.0	2.0	2.0	2.0	
Consumer prices, period average	-1.0	-0.6	1.7	0.9	2.6	1.8	2.0	2.0	2.0	2.0	
Output gap (percent of potential GDP) 1/	-0.1	1.6	0.7	0.7	0.4	0.4	0.1	-0.1	-0.1	-0.1	
Real effective exchange rate	-3.5	2.6	-0.2	-4.2	...	...	...	...	...	...	
Central government balances (accrual)											
	(In percent of GDP, unless otherwise specified)										
Revenue	24.5	24.5	26.4	25.9	25.8	25.2	25.1	24.9	24.8	24.6	
Taxes	18.2	19.0	21.1	21.7	21.3	20.8	20.8	20.7	20.7	20.6	
Non-tax revenue 2/	2.2	2.2	1.8	1.7	1.5	1.5	1.5	1.5	1.5	1.5	
Grants	4.1	3.2	3.5	2.6	2.9	2.8	2.7	2.6	2.5	2.4	
Expenditure 3/	29.2	25.7	24.0	22.8	22.4	21.9	21.4	23.0	24.3	24.6	
Current primary expenditure	16.4	14.0	16.9	17.5	16.9	16.5	16.6	16.5	16.5	16.5	
Interest payments	3.5	3.3	2.9	2.7	2.2	2.0	1.9	1.7	1.6	1.6	
Capital expenditure	9.2	8.3	4.2	2.7	3.3	3.3	3.0	4.8	6.2	6.5	
Primary balance 2/	-1.1	2.1	5.2	5.7	5.6	5.3	5.5	3.6	2.1	1.6	
Overall balance	-4.7	-1.2	2.3	3.0	3.4	3.3	3.6	1.9	0.5	0.0	
Public debt (incl. guaranteed) 4/	101.8	90.1	82.0	70.8	65.0	59.6	52.9	51.3	50.7	50.3	
Domestic	34.1	28.7	25.1	22.7	17.9	15.8	13.7	12.4	11.7	11.1	
External	67.7	61.4	56.9	48.0	47.1	43.8	39.2	38.9	39.0	39.2	
Money and credit, end of period (annual percent change)											
Broad money (M2)	4.1	5.2	1.3	4.0	6.4	5.8	5.2	5.0	5.0	5.0	
Credit to private sector	-5.1	-3.8	-0.2	0.6	5.6	8.0	6.8	6.6	6.4	5.6	
Balance of payments											
Current account balance, o/w:	-4.4	-3.8	-3.2	-6.7	-7.4	-7.5	-6.6	-6.4	-6.7	-6.6	
Exports of goods and services	60.2	58.0	56.1	56.3	56.3	56.2	56.0	55.9	55.9	55.8	
Imports of goods and services	58.9	56.7	52.4	56.2	56.6	56.6	55.6	55.4	55.6	55.3	
Capital and financial account balances	7.1	9.0	3.5	8.7	5.0	4.9	4.9	4.8	4.7	4.6	
Overall balance	3.9	2.2	0.3	-1.3	1.1	0.7	0.4	0.3	0.4	0.8	
External debt (gross)	143.0	133.2	126.3	116.4	108.4	107.2	100.8	98.9	97.4	95.9	
Savings-Investment balance											
Savings	13.8	13.9	17.0	11.9	11.8	12.3	12.9	14.8	15.9	16.3	
Investment	18.3	17.7	20.2	18.6	19.2	19.8	19.4	21.2	22.6	22.9	
Memorandum items:											
Nominal GDP (EC\$ million)	2,461	2,692	2,852	3,006	3,200	3,387	3,562	3,741	3,928	4,124	
Net imputed international reserves											
Months of imports of goods and services	3.4	4.1	3.9	3.5	3.4	3.4	3.3	3.2	3.1	3.0	

Sources: Ministry of Finance; Eastern Caribbean Central Bank; United Nations, Human Development Report 2008; World Bank WDI 2007; and Fund staff estimates and projections.

1/ The output gap is based on an HP-filter decomposition of actual and projected real GDP into cycle and trend (with lamda equal to 6.25) and end-of-period trend growth assumed at 2.7 percent. In some periods, including 2016-17, trend growth is higher than actual growth, causing the output gap to shrink even when the actual growth is above long-term trend growth.

2/ Includes CBI-related non-tax revenue.

3/ The Chart of Accounts for expenditure classification was revised in 2016 from GFSM 1986 format to GFSM 2001 format.

4/ Includes the impact of the debt restructuring agreement for the 2025 bonds.

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Table 2a. Grenada: Operations of the Central Government, 2014–2023
(In EC\$ million)

	2014	2015	2016	2017	2018	2018	2019	2020	2021	2022	2023
					Budget	Projections					
Total revenue and grants	602.8	658.5	751.6	778.2	858.4	824.9	852.5	893.0	931.0	973.9	1,015.5
Revenue	502.3	571.3	651.6	700.1	710.4	732.0	757.6	796.7	833.2	874.8	915.1
Tax revenue	448.1	511.8	600.5	651.9	658.1	682.6	705.3	741.7	775.5	814.2	851.4
Taxes on income and profits	89.9	101.7	127.3	140.6	136.6	135.8	125.6	132.1	138.8	145.7	153.0
Taxes on property	21.3	23.3	23.9	24.3	24.8	25.3	26.8	28.2	29.6	31.1	32.6
Taxes on goods and services	193.4	214.0	244.8	263.7	269.0	282.6	299.0	314.4	330.2	346.6	363.8
Taxes on international trade	143.5	172.8	204.5	223.3	227.7	238.9	253.8	266.9	276.9	290.8	302.0
Nontax revenue	54.2	59.5	51.1	48.2	52.4	49.4	52.3	55.0	57.8	60.7	63.7
Citizenship by Investment Program	0.3	16.3	3.4	4.9	5.4	3.2	3.4	3.6	3.8	4.0	4.2
Fees, fines and sales	19.0	18.5	23.1	22.8	13.9	...	...	...	...	...	...
Licenses	30.0	18.4	16.6	18.2	18.2	...	...	...	...	...	...
Grants	100.5	87.2	100.0	78.1	148.0	92.8	94.8	96.3	97.8	99.1	100.4
Total expenditure and net lending 1/	717.6	690.6	685.6	686.6	778.4	715.4	741.7	763.6	860.1	955.6	1,015.2
Current expenditure	490.9	467.0	565.5	605.9	607.1	611.0	629.5	657.4	681.8	713.9	748.9
Wages and salaries	242.4	215.3	240.4	246.9	265.6	267.7	272.9	287.7	301.3	316.2	331.8
Pensions and NIS contributions	51.6	48.5	52.6	62.1	56.4	63.2	66.0	69.6	73.1	76.8	80.7
Goods and services	72.2	75.9	117.6	126.5	117.8	109.7	116.1	122.1	128.2	134.6	141.3
Transfers	37.4	37.5	72.5	89.5	99.5	99.9	105.4	110.9	116.4	122.2	128.2
Transfers Abroad (Contributions)	13.1	13.8	14.3	...	...	...	...	...	...	...	...
Grants & Subventions (other private sector)	24.2	23.7	41.4	...	...	...	...	...	...	...	...
Transfers to Statutory Boards	0.1	0.0	0.0	...	...	...	...	...	...	...	...
Public Assistance	0.0	0.0	16.9	...	...	...	...	...	...	...	...
Interest payments	87.2	89.9	82.3	81.0	67.8	70.6	69.1	67.2	62.7	64.1	66.7
Capital expenditure and net lending	226.7	223.6	120.1	80.6	171.3	104.4	112.2	106.2	178.3	241.7	266.4
Grant-financed	90.6	87.2	74.0	64.2	143.0	87.9	89.7	91.2	92.5	93.8	95.0
Non-grant financed	136.1	136.5	46.1	16.4	28.3	16.5	22.5	15.0	85.8	147.9	171.4
Primary balance 2/	-27.6	57.8	148.3	172.6	147.8	180.0	179.9	196.6	133.7	82.5	67.0
Underlying primary balance (excl. one-off rev. and exp.)	-28.5	46.1	154.6								
Overall balance	-114.8	-32.2	66.0	91.6	80.0	109.5	110.8	129.4	71.0	18.4	0.3
Public Debt	2,504.5	2,425.4	2,338.1	2,126.9	2,082.0	2,079.4	2,018.5	1,884.8	1,919.3	1,991.2	2,072.9
Memo items:											
Nominal GDP (EC\$ millions)	2,461	2,692	2,852	3,006	3,200	3,200	3,387	3,562	3,741	3,928	4,124
Underlying primary balance, including CBI revenues (EC\$ millions) 3/	-28.5	46.1	154.6	178.0							
Adjustment relative to the previous year (EC\$ millions)	74.7	74.7	108.5	23.4	...	...	...	...	...	...	...

Sources: Country authorities and Fund staff estimates.

1/ The Chart of Accounts for expenditure classification was revised in 2016 from GFSM 1986 format to GFSM 2001 format.

2/ The primary surpluses for 2017-23 include revenue from the Citizenship by Investment program.

3/ Excluding one-off items (windfall revenues and retroactive wage and pension payments), incomplete data for 2017.

Table 2b. Grenada: Operations of the Central Government, 2014–2023
(In percent of GDP)

	2014	2015	2016	2017	2018	2018	2019	2020	2021	2022	2023
					Budget	Projections					
Total revenue and grants	24.5	24.5	26.4	25.9	26.8	25.8	25.2	25.1	24.9	24.8	24.6
Revenue	20.4	21.2	22.8	23.3	22.2	22.9	22.4	22.4	22.3	22.3	22.2
Tax revenue	18.2	19.0	21.1	21.7	20.6	21.3	20.8	20.8	20.7	20.7	20.6
Taxes on income and profits	3.7	3.8	4.5	4.7	4.3	4.2	3.7	3.7	3.7	3.7	3.7
Taxes on property	0.9	0.9	0.8	0.8	0.8	0.8	0.8	0.8	0.8	0.8	0.8
Taxes on goods and services	7.9	8.0	8.6	8.8	8.4	8.8	8.8	8.8	8.8	8.8	8.8
Taxes on international trade	5.8	6.4	7.2	7.4	7.1	7.5	7.5	7.5	7.4	7.4	7.3
Nontax revenue	2.2	2.2	1.8	1.6	1.6	1.5	1.5	1.5	1.5	1.5	1.5
Grants	4.1	3.2	3.5	2.6	4.6	2.9	2.8	2.7	2.6	2.5	2.4
Total expenditure and net lending 1/	29.2	25.7	24.0	22.8	24.3	22.4	21.9	21.4	23.0	24.3	24.6
Current expenditure	19.9	17.3	19.8	20.2	19.0	19.1	18.6	18.5	18.2	18.2	18.2
Wages and salaries	9.9	8.0	8.4	8.2	8.3	8.4	8.1	8.1	8.1	8.0	8.0
Pensions and NIS contributions	2.1	1.8	1.8	2.1	1.8	2.0	1.9	2.0	2.0	2.0	2.0
Goods and services	2.9	2.8	4.1	4.2	3.7	3.4	3.4	3.4	3.4	3.4	3.4
Transfers	1.5	1.4	2.5	3.0	3.1	3.1	3.1	3.1	3.1	3.1	3.1
Interest payments	3.5	3.3	2.9	2.7	2.1	2.2	2.0	1.9	1.7	1.6	1.6
Capital expenditure and net lending	9.2	8.3	4.2	2.7	5.4	3.3	3.3	3.0	4.8	6.2	6.5
Grant-financed	3.7	3.2	2.6	2.1	4.5	2.7	2.6	2.6	2.5	2.4	2.3
Non-grant financed	5.5	5.1	1.6	0.5	0.9	0.5	0.7	0.4	2.3	3.8	4.2
Primary balance 2/	-1.1	2.1	5.2	5.7	4.6	5.6	5.3	5.5	3.6	2.1	1.6
Underlying primary balance (excl. one-off rev. and exp.)	-1.2	1.7	5.6	5.9	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Overall balance	-4.7	-1.2	2.3	3.0	2.5	3.4	3.3	3.6	1.9	0.5	0.0
Public Debt	101.8	90.1	82.0	70.8	65.1	65.0	59.6	52.9	51.3	50.7	50.3
Memo item:											
Nominal GDP (EC\$ millions)	2,461	2,692	2,852	3,006	3,200	3,200	3,387	3,562	3,741	3,928	4,124
Underlying primary balance, including CBI revenues (% of GDP) 3/	-1.2	1.7	5.6	5.9	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Adjustment relative to the previous year (% of GDP)	3.4	2.9	3.9	0.3	...	...	...	...	...	...	...

Sources: Country authorities and Fund staff estimates.

1/ The Chart of Accounts for expenditure classification was revised in 2016 from GFSM 1986 format to GFSM 2001 format.

2/ The primary surpluses for 2017-23 include revenue from the Citizenship by Investment program.

3/ Excluding one-off items (windfall revenues and retroactive wage and pension payments), incomplete data for 2017.

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Table 3. Grenada: Public Sector Debt, 2015–2017
(Year end, in millions of U.S. dollars)

	2015			2016			2017 (prel.)		
	Stock	Percent of Total Debt	GDP	Stock	Percent of Total Debt	GDP	Stock	Percent of Total Debt	GDP
Public Sector debt	898.3	100.0	90.1	866.2	100.0	82.0	787.7	100.0	70.8
Central government debt	857.9	95.5	86.0	837.1	96.6	79.3	761.0	96.6	68.4
Central-government guaranteed debt	40.4	4.5	4.1	29.1	3.4	2.8	26.7	3.4	2.4
External debt	611.9	68.1	61.4	600.8	69.4	56.9	534.7	67.9	48.0
A. Central Government	591.3	65.8	59.3	586.7	67.7	55.5	521.3	66.2	46.8
1. Multilateral	280.0	31.2	28.1	288.2	33.3	27.3	293.9	37.3	26.4
CDB	134.7	15.0	13.5	141.3	16.3	13.4	136.3	17.3	12.2
IDA	77.7	8.6	7.8	78.5	9.1	7.4	92.1	11.7	8.3
IBRD	14.9	1.7	1.5	13.8	1.6	1.3	12.7	1.6	1.1
IMF	29.3	3.3	2.9	28.9	3.3	2.7	28.6	3.6	2.6
Other Multilateral	23.4	2.6	2.3	25.6	3.0	2.4	24.2	3.1	2.2
2. Official bilateral	97.0	10.8	9.7	94.3	10.9	8.9	88.7	11.3	8.0
Paris Club 1/	10.8	1.2	1.1	8.9	1.0	0.8	8.2	1.0	0.7
France	4.5	0.5	0.4	4.0	0.5	0.4	3.8	0.5	0.3
Russian Federation	0.2	0.0	0.0	0.2	0.0	0.0	0.1	0.0	0.0
U.S.	3.0	0.3	0.3	2.7	0.3	0.3	2.5	0.3	0.2
U.K.	3.2	0.4	0.3	2.0	0.2	0.2	1.9	0.2	0.2
Other	86.2	9.6	8.7	85.4	9.9	8.1	80.5	10.2	7.2
Kuwait	17.0	1.9	1.7	16.2	1.9	1.5	15.6	2.0	1.4
Taiwan Province of China 2/	19.4	2.2	1.9	19.4	2.2	1.8	18.3	2.3	1.6
Trinidad and Tobago	32.9	3.7	3.3	32.9	3.8	3.1	32.9	4.2	3.0
Venezuela	10.0	1.1	1.0	10.0	1.2	0.9	7.7	1.0	0.7
Other Bilateral	6.9	0.8	0.7	6.9	0.8	0.7	5.9	0.8	0.5
3. Commercial debt	188.1	20.9	18.9	178.5	20.6	16.9	117.3	14.9	10.5
US\$ 2040 Bonds 5/	179.2	19.9	18.0	170.2	19.6	16.1	112.3	14.3	10.1
Other Bonds	8.9	1.0	0.9	8.3	1.0	0.8	5.0	0.6	0.5
4. External arrears on interests	3.4	0.4	0.3	3.9	0.4	0.4	4.8	0.6	0.4
5. Overdue membership fees	22.8	2.5	2.3	21.8	2.5	2.1	16.7	2.1	1.5
B. Central-government guaranteed	20.6	2.3	2.1	14.1	1.6	1.3	13.3	1.7	1.2
Domestic debt	286.4	31.9	28.7	265.5	30.6	25.1	253.1	32.1	22.7
A. Central Government	266.6	29.7	26.7	250.4	28.9	23.7	239.7	30.4	21.5
1. Treasury bills	117.9	13.1	11.8	113.3	13.1	10.7	76.6	9.7	6.9
RGSM 3/	35.9	4.0	3.6	34.6	4.0	3.3	33.5	4.2	3.0
3 month initial maturity	13.0	1.4	1.3	13.0	1.5	1.2	12.0	1.5	1.1
1 year initial maturity	23.0	2.6	2.3	21.6	2.5	2.0	21.4	2.7	1.9
Private placements	82.0	9.1	8.2	78.7	9.1	7.4	43.1	5.5	3.9
National Insurance Scheme	14.8	1.6	1.5	14.8	1.7	1.4	14.8	1.9	1.3
Petrocaribe Grenada	34.8	3.9	3.5	34.8	4.0	3.3	15.8	2.0	1.4
Other private placements	32.4	3.6	3.2	29.0	3.4	2.7	12.5	1.6	1.1
2. Bonds	111.4	12.4	11.2	115.7	13.4	11.0	138.8	17.6	12.5
EC\$ 2040 Bonds 5/	68.9	7.7	6.9	67.3	7.8	6.4	57.1	7.2	5.1
RGSM 3/	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Private Placements	37.9	4.2	3.8	43.5	5.0	4.1	79.3	10.1	7.1
Other Bonds	4.6	0.5	0.5	4.9	0.6	0.5	2.5	0.3	0.2
3. Domestic arrears on interests	4.4	0.5	0.4	1.6	0.2	0.1	1.3	0.2	0.1
4. Compensation claims	14.8	1.6	1.5	14.8	1.7	1.4	21.5	2.7	1.9
5. Commercial Bank Loans	7.0	0.8	0.7	5.0	0.6	0.5	1.4	0.2	0.1
6. Overdraft	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
7. Supplier arrears	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
8. Other 4/	11.1	1.2	1.1	0.0	0.0	0.0	0.0	0.0	0.0
B. Central-Government Guaranteed	19.8	2.2	2.0	15.1	1.7	1.4	13.4	1.7	1.2
Memorandum items:									
Nominal GDP	997.0			1056.2			1113.3		

Sources: Grenadian authorities and Fund staff estimates.

1/ Debt service obligations to the Paris Club were rescheduled in May 2006.

2/ New debt issued after restructuring in December 2014.

3/ Regional Government Securities Market placements.

4/ Includes unpaid claims < 60 days, and ECCB temporary advance

5/ Prior to the restructuring that took place in November 2015 was the US\$ 2025 bonds.

Table 4. Grenada: External and Domestic Arrears, 2016–2017

(Year end, in millions of U.S. Dollars, unless otherwise indicated)

	2016				Q1 2017				Q4 2017 (prel.)			
	Principal	Interest	US\$mIn	% of GDP	Principal	Interest	US\$mIn	% of GDP	Principal	Interest	US\$mIn	% of GDP
Total arrears	50.7	5.4	56.2	5.6	45.4	4.5	49.9	5.0	33.3	4.9	38.1	3.8
External arrears	37.0	3.9	40.9	4.1	33.9	3.2	37.1	3.7	29.8	3.6	33.4	3.3
Multilateral	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Bilateral	14.0	3.4	17.4	1.7	11.9	2.7	14.6	1.5	12.5	3.2	15.7	1.6
Paris Club	1.4	0.5	1.9	0.2	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
France	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Russia	0.1	0.1	0.2	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
UK	1.3	0.5	1.8	0.2	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
US	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Non-Paris Club	12.6	2.9	15.5	1.5	11.9	2.7	14.6	1.4	12.5	3.2	15.7	1.5
Algeria 3/	1.9	0.0	1.9	0.2	1.9	0.0	1.9	0.2	2.1	0.0	2.1	0.2
Libya	5.0	0.0	5.0	0.5	5.0	0.0	5.0	0.5	5.0	0.0	5.0	0.5
Trinidad	4.6	2.6	7.1	0.7	5.0	2.7	7.7	0.7	5.5	3.2	8.7	0.8
Venezuela	1.1	0.3	1.4	0.1	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Commercial	6.9	0.5	7.4	0.7	6.9	0.5	7.4	0.7	0.5	0.4	0.8	0.1
Unpaid contribution to organizations	16.1	0.0	16.1	1.5	15.1	0.0	15.1	1.4	16.8	0.0	16.8	1.6
Budget expenditure arrears	13.7	1.6	15.3	1.5	11.5	1.3	12.8	1.3	3.5	1.3	4.8	0.5
Domestic debt 1/	13.7	1.6	15.3	1.5	11.5	1.3	12.8	1.3	3.5	1.3	4.8	0.5
Domestic debt under restructuring 2/	13.7	1.6	15.3	1.4	11.5	1.3	12.8	1.1	3.5	1.3	4.8	0.4
ECCB	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Supplier arrears	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0

Sources: Grenadian authorities and staff estimates.

1/ The increase in 2014 in domestic debt under restructuring is a result of suspension of interest payment on T-bills, bonds, and commercial

2/ Includes US\$ 1.3 million in matured but unclaimed bonds and debentures.

3/ Principal amount includes capitalized interest.

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Table 5. Grenada: Balance of Payments Summary, 2014–2023

	2014	2015	2016	2017	Projections				
					2018	2019	2020	2021	2023
<i>(In millions of US dollars, unless otherwise specified)</i>									
Current account	-40.4	-38.3	-33.9	-74.7	-88.1	-93.6	-86.7	-89.2	-97.0
Trade balance for goods and services	11.4	12.9	39.5	1.2	-3.6	-5.0	5.8	7.4	3.9
Exports of goods and services	548.3	578.3	592.6	627.1	667.3	705.3	739.1	774.6	812.9
Nutmeg	6.1	4.9	4.6	3.8	4.3	4.4	4.5	4.6	4.7
Tourism	466.2	493.0	510.0	545.5	579.6	612.3	641.4	671.9	703.9
Imports of goods and services	536.9	565.5	553.0	625.9	670.9	710.3	733.3	767.1	809.0
Mineral fuels	79.3	59.1	50.8	49.8	65.0	67.2	66.8	67.2	68.3
Foodstuffs	79.2	83.0	81.5	93.2	100.5	105.2	106.7	108.1	111.1
Other goods	147.3	185.2	182.3	235.2	245.3	266.4	278.2	300.1	327.5
Services	231.2	238.1	238.4	247.7	260.0	271.4	281.5	291.7	302.1
Net income	-56.3	-58.2	-61.2	-64.5	-68.7	-72.7	-76.5	-80.3	-84.3
Current transfers	4.6	7.1	-12.2	-11.3	-15.8	-15.8	-16.1	-16.3	-16.6
Capital account	65.1	89.4	36.9	96.8	59.8	62.1	64.0	66.1	70.2
Capital transfers	65.1	89.4	36.9	96.8	59.8	62.1	64.0	66.1	70.2
o.w. debt forgiveness 1/	17.2	48.4	4.5	49.5	0.0	0.0	0.0	0.0	0.0
Financial account	-9.4	30.4	-1.0	30.8	-48.4	-47.2	-32.5	-28.9	-36.4
Foreign direct investment	-58.4	-88.6	-90.8	-95.1	-101.8	-114.1	-120.0	-126.0	-132.3
Portfolio investment (net)	-1.7	123.1	66.1	69.3	73.3	77.2	80.6	84.2	87.9
Other investment (net)	50.7	-4.1	23.6	50.1	-12.2	-3.9	10.8	14.5	10.0
o/w Petrocaribe	0.4	0.5	0.5	0.5	0.5	0.6	0.6	0.6	0.7
Errors and omissions	1.1	1.1	-0.9	0.0	0.0	0.0	0.0	0.0	1.0
Overall balance	35.3	21.8	3.1	-14.9	12.5	9.3	5.9	4.2	5.5
Overall financing	35.3	52.4	18.7	-2.1	12.5	9.3	5.9	4.2	5.5
Change in ECCB NFA	21.9	28.5	10.1	-6.5	7.5	6.4	3.9	1.6	2.0
Change in Reserve Position with the IMF	-3.4	4.5	5.0	4.4	5.0	2.9	1.9	2.6	3.5
Change in existing external arrears	16.8	19.3	3.6	0.0	0.0	0.0	0.0	0.0	0.0
Financing gap:	0.0	30.6	15.6	12.8	0.0	0.0	0.0	0.0	0.0
Exceptional financing:	31.1	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Net use of Fund resources	6.1	5.6	5.6	2.8	0.0	0.0	0.0	0.0	0.0
World Bank	15.0	15.0	0.0	10.0	0.0	0.0	0.0	0.0	0.0
CDB	10.0	10.0	10.0	0.0	0.0	0.0	0.0	0.0	0.0
<i>(In percent of GDP, unless otherwise specified)</i>									
Current account	-4.4	-3.8	-3.2	-6.7	-7.4	-7.5	-6.6	-6.4	-6.7
Trade balance for goods and services	1.2	1.3	3.7	0.1	-0.3	-0.4	0.4	0.5	0.3
Exports of goods and services	60.2	58.0	56.1	56.3	56.3	56.2	56.0	55.9	55.8
Tourism	51.2	49.4	48.3	49.0	48.9	48.8	48.6	48.5	48.4
Imports of goods and services	58.9	56.7	52.4	56.2	56.6	56.6	55.6	55.4	55.3
o.w. Mineral fuels	8.7	5.9	4.8	4.5	5.5	5.4	5.1	4.9	4.7
Net income	-6.2	-5.8	-5.8	-5.8	-5.8	-5.8	-5.8	-5.8	-5.8
o.w. Public interest payment	-2.4	-2.3	-2.1	-2.0	-1.6	-1.6	-1.5	-1.3	-1.3
Net current transfers	0.5	0.7	-1.2	-1.0	-1.3	-1.3	-1.2	-1.2	-1.1
Capital account	7.1	9.0	3.5	8.7	5.0	4.9	4.9	4.8	4.7
Capital transfers	7.1	9.0	3.5	8.7	5.0	4.9	4.9	4.8	4.7
o.w. debt forgiveness 1/	1.9	4.9	0.4	4.4	0.0	0.0	0.0	0.0	0.0
Financial account	-1.0	3.1	-0.1	2.8	-4.1	-3.8	-2.5	-2.1	-3.4
Foreign direct investment	-6.4	-8.9	-8.6	-8.5	-8.6	-9.1	-9.1	-9.1	-9.1
Portfolio investment (net)	-0.2	12.4	6.3	6.2	6.2	6.1	6.1	6.0	6.0
Other investment (net)	5.6	-0.4	2.2	4.5	-1.0	-0.3	0.8	1.0	0.7
Error and Omission	0.1	0.1	-0.1	0.0	0.0	0.0	0.0	0.0	0.1
Overall balance	3.9	2.2	0.3	-1.3	1.1	0.7	0.4	0.3	0.4
Overall financing	3.9	5.3	1.8	-0.2	1.1	0.7	0.4	0.3	0.4
Change in ECCB NFA	2.4	2.9	1.0	-0.6	0.6	0.5	0.3	0.1	0.1
Change in imputed reserves (increase -)	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Change in NTF reserve	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Change in govt. foreign assets	6.8	7.0	-4.1	-3.7	-0.7	-2.0	-1.9	-1.3	-0.8
Change in Reserve Position with the IMF	-0.4	0.5	0.5	0.4	0.4	0.2	0.1	0.2	0.2
Change in existing external arrears	1.8	1.9	0.3	0.0	0.0	0.0	0.0	0.0	0.0
Financing gap:	0.0	3.1	1.5	1.1	0.0	0.0	0.0	0.0	0.0
Exceptional financing:	3.4	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Net use of Fund resources	0.7	0.6	0.5	0.2	0.0	0.0	0.0	0.0	0.0
World Bank	1.6	1.5	0.0	0.9	0.0	0.0	0.0	0.0	0.0
CDB	1.1	1.0	0.9	0.0	0.0	0.0	0.0	0.0	0.0
Memorandum Items:									
Gross external debt	143.0	133.2	126.3	116.4	108.4	107.2	100.8	98.9	97.4
External public and publicly guaranteed debt	67.7	61.4	56.9	48.0	47.1	43.8	39.2	38.9	39.0
Foreign liabilities of private sector 2/	75.3	71.8	69.4	68.4	61.3	63.4	61.7	60.1	58.4
Nominal GDP	911.5	997.0	1056.2	1113.3	1185.0	1254.3	1319.1	1385.6	1454.8

Sources: Ministry of Finance and Planning; ECCB; and Fund staff estimates and projections.

1/ Debt forgiveness as a result of debt restructuring.

2/ Comprises foreign liabilities of commercial banks and other liabilities under the "Other investment" item of financial account.

Table 6. Grenada: Summary Accounts of the Monetary Sector, 2014–2023

	2014	2015	2016	2017	2018	2019	2020	2021	2022	2023
	Projections									
	(In millions of EC dollars; end of period)									
Net foreign assets	582.2	852.5	1,003.2	1,097.9	1,140.2	1,225.6	1,302.5	1,354.8	1,393.1	1,442.2
ECCB	427.3	509.0	543.7	526.1	546.5	563.8	574.4	578.7	584.1	608.6
Of which: Net imputed reserves	427.3	509.0	543.7	526.1	546.5	563.8	574.4	578.7	584.1	608.6
Commercial banks (net)	154.8	343.5	459.5	571.8	593.7	661.9	728.1	776.1	809.0	833.6
Assets	672.7	855.9	966.8	1,092.6	1,083.7	1,137.3	1,198.2	1,244.7	1,271.4	1,290.0
Liabilities	517.9	512.4	507.3	520.8	490.1	475.5	470.1	468.6	462.4	456.4
Net domestic assets	1,435.8	1,269.9	1,147.8	1,138.3	1,240.1	1,293.9	1,347.3	1,428.5	1,529.1	1,625.7
Public sector credit (net)	-104.3	-166.4	-248.9	-231.1	-222.3	-250.7	-279.1	-295.1	-302.3	-307.9
Central government	17.6	-65.6	-58.8	-120.6	-111.3	-167.7	-215.6	-251.1	-281.5	-307.9
ECCB	25.1	8.3	0.0	0.0	0.7	-12.0	-24.0	-36.0	-48.0	-60.0
Commercial banks	86.2	67.9	72.6	63.4	45.7	36.8	31.2	25.6	19.6	13.7
Net credit to rest of public sector	-104.3	-166.4	-201.5	-206.5	-211.2	-215.9	-221.1	-226.8	-232.7	-238.9
National Insurance Scheme	-74.7	-92.0	-97.0	-102.1	-106.7	-111.4	-116.6	-122.3	-128.3	-134.5
Credit to private sector	1,613.9	1,552.4	1,548.6	1,558.5	1,646.6	1,777.5	1,899.1	2,024.0	2,154.5	2,275.5
Other items (net)	-91.1	-50.2	-93.1	-68.5	-72.9	-77.2	-81.1	-85.2	-89.5	-94.0
Broad money	2,018.0	2,122.4	2,151.0	2,236.2	2,380.3	2,519.5	2,649.8	2,783.3	2,922.2	3,067.9
Money	466.5	543.0	577.9	625.1	683.6	762.1	833.4	894.9	957.0	1,027.1
Currency in circulation	124.1	131.5	135.7	151.4	165.5	184.6	201.8	216.7	231.8	248.7
Cash in commercial banks	342.4	411.4	442.2	473.7	518.0	577.6	631.5	678.2	725.3	778.4
Quasi-money	1,551.5	1,579.4	1,573.1	1,611.2	1,696.7	1,757.4	1,816.4	1,888.4	1,965.1	2,040.8
Time deposits	287.1	271.4	242.6	215.6	227.0	235.1	243.0	252.7	262.9	273.1
Savings deposits	1,167.9	1,160.5	1,174.7	1,216.3	1,280.9	1,326.7	1,371.2	1,425.6	1,483.5	1,540.7
Foreign currency deposits	96.4	147.4	155.9	179.3	188.8	195.6	202.1	210.2	218.7	227.1
	(Annual percentage change, unless otherwise specified)									
Net foreign assets	65.2	46.4	17.7	9.4	3.8	7.5	6.3	4.0	2.8	3.5
Net domestic assets	-9.5	-11.6	-9.6	-0.8	8.9	4.3	4.1	6.0	7.0	6.3
Public sector credit, net	82.1	59.6	49.5	-7.1	-3.8	12.8	11.3	5.7	2.5	1.9
Credit to private sector	-5.1	-3.8	-0.2	0.6	5.6	8.0	6.8	6.6	6.4	5.6
Broad money	4.1	5.2	1.3	4.0	6.4	5.8	5.2	5.0	5.0	5.0
NFA contribution	11.9	13.4	7.1	4.4	1.9	3.6	3.1	2.0	1.4	1.7
NDA contribution	-7.8	-8.2	-5.8	-0.4	4.6	2.3	2.1	3.1	3.6	3.3
Money	22.4	16.4	6.4	8.2	9.4	11.5	9.3	7.4	6.9	7.3
Quasi-money	-0.4	1.8	-0.4	2.4	5.3	3.6	3.4	4.0	4.1	3.9
	(In percent of GDP)									
Net foreign assets	23.7	31.7	35.2	36.5	35.6	36.2	36.6	36.2	35.5	35.0
Net domestic assets, o.w.	58.3	47.2	40.3	37.9	38.8	38.2	37.8	38.2	38.9	39.4
Public sector credit, net	-4.2	-6.2	-8.7	-7.7	-6.9	-7.4	-7.8	-7.9	-7.7	-7.5
Private sector credit, net	65.6	57.7	54.3	51.9	51.5	52.5	53.3	54.1	54.9	55.2
Broad money (M2)	82.0	78.8	75.4	74.4	74.4	74.4	74.4	74.4	74.4	74.4
Money	19.0	20.2	20.3	20.8	21.4	22.5	23.4	23.9	24.4	24.9
Quasi-money	63.0	58.7	55.2	53.6	53.0	51.9	51.0	50.5	50.0	49.5
Interest rates (percent per year)										
ECCB policy rate	6.5	6.5	6.5	...	...	...	...	...	...	...
US policy rate	0.1	0.1	0.4	...	...	...	...	...	...	...
Interbank market rate	6.0	N.A.	N.A.	...	...	...	...	...	...	...
Time deposit rate	2.0	1.6	1.3	...	...	...	...	...	...	...
Demand deposit rate	0.3	0.3	0.1	...	...	...	...	...	...	...
Weighted average lending rate	9.0	8.7	8.4	...	...	...	...	...	...	...

Sources: Eastern Caribbean Central Bank; Ministry of Finance; and Fund staff estimates.

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Table 7. Grenada: Indicators of Capacity to Repay the Fund, 2014–2023
(In millions of SDR, unless otherwise indicated)

	2014	2015	2016	2017	Projections					
					2018	2019	2020	2021	2022	2023
Existing Fund credit (stock)										
In percent of quota	174.3	180.8	131.3	110.1	101.2	89.0	80.7	69.6	53.8	36.6
In millions of SDRs	20.4	21.2	21.5	18.1	16.6	14.6	13.2	11.4	8.8	6.0
In millions of US\$	29.7	29.3	29.0	24.3	22.3	19.7	17.8	15.4	11.9	8.1
In percent of GDP	3.3	2.9	2.7	2.2	1.9	1.6	1.4	1.1	0.8	0.5
Extended Credit Facility (stock)										
In percent of quota	0.0	0.0	0.0	12.2	0.0	0.0	0.0	0.0	0.0	0.0
In millions of SDRs	0.0	0.0	0.0	2.0	0.0	0.0	0.0	0.0	0.0	0.0
In millions of US\$	0.0	0.0	0.0	2.7	0.0	0.0	0.0	0.0	0.0	0.0
In percent of GDP	0.0	0.0	0.0	0.2	0.0	0.0	0.0	0.0	0.0	0.0
Outstanding Fund credit (end of period)										
In percent of quota	174.3	180.8	131.3	122.3	101.2	89.0	80.7	69.6	53.8	36.6
In millions of SDRs	20.4	21.2	21.5	20.1	16.6	14.6	13.2	11.4	8.8	6.0
In millions of US\$	29.7	29.3	29.0	27.0	22.3	19.7	17.8	15.4	11.9	8.1
In percent of exports of goods and services	5.4	5.1	4.9	4.3	3.3	2.8	2.4	2.0	1.5	1.0
In percent of debt service	24.5	27.2	53.1	48.1	46.3	41.1	38.9	33.3	24.7	15.6
In percent of GDP	3.3	2.9	2.7	2.4	1.9	1.6	1.4	1.1	0.8	0.5
In percent of Imputed Net International Reserves	18.8	15.5	14.4	13.9	11.0	9.4	8.4	7.2	5.5	3.6
Fund obligations based on existing and prospective										
Repurchases and repayments	1.8	3.2	3.6	3.2	3.2	2.1	1.4	1.9	2.7	2.9
Charges and interest	1.8	3.2	3.6	3.2	3.2	2.0	1.4	1.8	2.6	2.8
Charges and interest	0.0	0.0	0.0	0.0	0.1	0.1	0.1	0.1	0.1	0.1
Fund obligations based on existing and prospective credit										
In millions of US\$	2.7	4.5	5.0	4.4	4.7	3.0	2.1	2.7	3.9	4.2
In percent of exports of goods and services	0.5	0.8	0.9	0.7	0.7	0.4	0.3	0.4	0.5	0.5
In percent of debt service	2.2	4.2	9.2	7.9	9.7	6.3	4.5	6.0	8.1	8.1
In percent of GDP	0.3	0.5	0.5	0.4	0.4	0.2	0.2	0.2	0.3	0.3
In percent of Imputed Net International Reserves	1.7	2.4	2.5	2.3	2.3	1.4	1.0	1.3	1.8	1.9
In percent of quota	15.2	27.7	22.1	19.5	19.7	12.7	8.7	11.5	16.4	17.6
Net use of Fund credit										
Disbursements	2.3	0.8	0.4	-1.2	-3.2	-2.0	-1.4	-1.8	-2.6	-2.8
Repayments and Repurchases	4.0	4.0	4.0	2.0	0.0	0.0	0.0	0.0	0.0	0.0
Repayments and Repurchases	1.8	3.2	3.6	3.2	3.2	2.0	1.4	1.8	2.6	2.8
Memorandum items:										
Exports of goods and services (in millions of US\$)	548.3	578.3	592.6	627.1	667.3	705.3	739.1	774.6	812.9	851.5
Debt service (in millions of US\$)	121.3	107.7	54.6	56.1	48.3	47.8	45.8	46.2	48.1	51.8
GDP (in millions of US\$)	911.5	997.0	1056.2	1113.3	1185.0	1254.3	1319.1	1385.6	1454.8	1527.3
Imputed Net International Reserves (in millions of US\$)	158.3	188.5	201.4	194.9	202.4	208.8	212.7	214.3	216.3	225.4
Quota (in millions of SDR)	11.7	11.7	16.4	16.4	16.4	16.4	16.4	16.4	16.4	16.4
Source: Staff estimates and projections.										

Table 8. Grenada: Financial Sector Indicators 2010–2017

	2010	2011	2012	2013	2014	2015	2016	2017
(Percent of GDP)								
Balance Sheet								
Total Assets	136.0	137.2	128.8	122.4	114.8	111.7	110.3	112.2
Gross Loans	96.2	95.8	91.6	82.0	71.4	61.8	57.3	54.9
o/w NPLs	7.3	9.0	10.8	11.3	10.4	6.2	3.8	2.6
Provisions for NPLs	2.1	2.5	3.6	4.0	4.1	2.6	1.9	1.4
Total Liabilities	133.6	134.8	126.4	120.2	112.8	109.8	108.5	110.0
Deposits	115.1	114.9	108.5	107.1	104.1	101.1	97.5	97.7
Capital	2.4	2.4	2.4	2.2	2.1	1.9	1.8	2.2
(Percent)								
Profitability								
Interest Income/Total Income	87.8	84.6	82.3	82.1	77.9	75.6	77.2	
Interest Exp./Total Income	33.7	34.0	30.8	27.6	26.4	17.6	18.5	
Net Interest Income/Total Income	54.1	50.6	51.5	54.5	51.4	58.0	58.6	
Net Non-Interest Income/Total Income /4	0.3	3.0	5.6	-12.9	-18.9	-10.8	-18.0	
Operating Expenses/Total Income	45.6	46.4	43.0	58.5	67.4	52.8	59.3	
Gross Profits/Total Income	7.2	16.8	-3.6	-15.1	-8.0	46.8	33.0	
Interest Spread 1/	1.1	1.1	1.1	1.2	1.1	1.2	1.1	
ROAE 5/	16.5	3.2	6.9	-28.7	-1.0	31.3	28.4	17.2
ROAA	1.2	0.2	0.5	-1.9	-0.1	1.5	1.5	1.1
Capital Adequacy								
CAR 5/	16.5	15.1	13.9	13.6	13.0	12.2	13.9	
T1R	15.0	13.6	13.2	12.2	11.7	10.2	11.4	
RWA/Assets	66.2	67.5	70.8	70.2	68.4	69.2	65.9	
Asset Quality								
NPL Ratio	7.5	9.4	11.8	13.8	14.6	10.0	6.7	3.9
Provisions/NPL	28.6	28.4	33.2	35.8	39.3	42.9	49.9	
Past Due/Gross Loans	3.3	2.9	2.1	2.0	2.9	2.0	1.9	
Net NPL/Capital	49.4	70.4	85.8	109.1	112.2	68.0	36.3	17.4
FX Risk								
FX Assets/Assets	8.0	7.4	7.7	7.7	8.6	9.7	10.1	10.6
FX Liabilities/Liabilities	8.8	9.1	8.7	7.1	7.4	8.9	8.7	11.2
NOP/Capital	34.7	24.6	37.7	65.2	102.7	172.2	209.7	
Liquidity Risk								
Liquid Assets/Total Assets	20.7	22.9	22.9	27.7	32.8	37.5	40.8	41.2
Liquidity Coverage Ratio 2/	23.0	25.2	25.2	30.4	35.5	40.8	44.9	45.9
Liquid Assets/Total Deposits	24.4	27.4	27.2	31.7	36.2	41.4	46.1	47.3
Funding Risk								
Core/Non-Core Liabilities 6/	635.3	589.7	619.3	831.8	1,222.6	1,186.9	901.9	812.0
Core/Non-Core Liabilities (ECD) 6/	796.0	729.8	821.6	978.3	1,545.8	1,463.8	1,020.2	852.7
Core/Non-Core Liabilities (FX) 6/	153.9	153.7	115.2	229.7	275.5	352.1	372.4	576.7
Costs of Funds 3/	0.7	0.7	0.6	0.6	0.5	0.3	0.3	
Leverage and Concentration Risk								
LD Ratio	83.6	83.4	84.5	76.6	68.6	61.2	58.8	56.2
LD Ratio (ECD)	83.7	83.7	83.6	77.3	69.4	62.4	60.4	59.5
LD Ratio (FX)	82.9	78.6	101.2	62.7	54.7	45.3	38.7	27.4
C1 Borrower Loan/Capital Ratio	15.8	17.4	18.4	22.4	21.4	19.2	17.0	
C1 Sector Loan/Capital Ratio	399.2	435.6	459.1	453.5	439.8	409.2	337.4	
Government Assets/Assets	9.5	9.2	5.6	6.5	7.7	9.7	11.6	
Government Liabilities/Liabilities	9.7	9.4	5.7	6.6	7.9	9.8	11.8	

Sources: ECCB and Staff Estimations.
1/ Yield on Average Earning Assets less Average Cost of Funds
2/ Liquid Assets/Current Liabilities (Short-term liabilities).
3/ Interest Expense/Average Interest Bearing Liabilities.
4/ Excluding provisions for loan losses.
5/ Data on foreign banks not available.
6/ Core = Deposits + Equity.

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Annex I. Implementation of IMF Policy Recommendations of the 2016 Article IV Consultation

Recommendations	Implementation Status
Fiscal Policy	
Implement tax administration act .	Implemented.
Broaden the tax base to include investment income and promote equity by lowering the PIT income threshold.	Partial implementation. Income tax rates on the bottom tax category was reduced from 15 to 10 percent while income tax on pensions were removed in 2017. Elements to broaden the tax base have not been implemented.
Broaden the corporate income tax base by restricting deductions and taxing foreign-source interests, rents, royalties, and fees.	No progress yet made.
Strengthen management of the public wage bill .	Ongoing. Cabinet approved a comprehensive public wage bill management reform strategy in March 2017. While an earlier attrition rule established in 2014 is ongoing implementation of other core elements of the strategy is proceeding with delays.
Implement the regulations for the debt management act , finalize the medium-term debt strategy , and restructure the debt management unit .	Implemented. Regulations were passed in Q3 2016 and the medium-term debt strategy was included as a supportive document for the 2017 budget. The debt management unit was restructured and full staffed in 2017.
Redouble efforts to launch the SEED beneficiary system to strengthen the effectiveness of social spending.	Implemented. The new beneficiary information system has been operational since the third quarter of 2016 and new participants are being added while those no longer eligible are being phased out.
Provide staffing for SOE monitoring and oversight and outreach to boost compliance on reporting, dividend policy and salary guidance. In a second phase, examine the possibilities for tariff reforms and broader private sector participation in service delivery.	Ongoing. Individuals have been identified within the Macro Policy Unit to undertake SOE oversight and monitoring. The second phase of reforms tariff adjustments is pending.
Financial Sector	
Strengthen AML/CFT framework and financial sector supervision to minimize CBR withdrawals.	Ongoing. ECCB has responsibility for AML/CFT supervision and regulation of all institutions licensed under the Banking Act. The government has executed the Intergovernmental Agreement with the United States and will soon enact the related FATCA legislation to ensure full compliance with the reporting requirements under the FATCA.
Strengthen the regulation and oversight of non-bank financial sector.	Ongoing. The Cooperative Societies Amendment Act which strengthens the legislative and oversight framework for credit unions was passed in October 2017. The Grenada Authority for the Regulation of Financial Institutions (GARFIN) has improved its capacity for credit quality review and stress testing of credit unions and for the off-site supervision of insurance companies. Work is ongoing for the development of a national crisis management plan.
Growth Policy	
Strengthen investment processes through a new Act for the Grenada Investment Development Corporation (GIDC) and improve labor relations	Implemented. Achieved in November 2016.

and labor market flexibility by revising the Labor Code.	
Recommendations	Implementation Status
Accelerate structural reforms to improve business climate by streamlining property registration, reinforcing corporate governance, simplifying customs procedures and reducing port charges, strengthening building quality control and supervision, and collaborating more with regional partners on joint solutions, such as a regional credit registry.	Ongoing. Property records are now automated, and E-Systems with payment facilities to streamline construction permit approvals and registration of businesses and property have been established. Efforts to address delays in the judicial system include promotion of the case management system, additional hiring, and development of a commercial division of the court. The regional credit registry system has been approved by the ECCB's monetary council but has not been established.
Revise and align the education curriculum with the needs of the labor market. Provide technical and vocational training opportunities in collaboration with the private sector to address the skills gap.	Ongoing. The youth skills training and apprenticeship program has been revamped and there is greater collaboration with the private sector. Additionally, Grenada has established a labor market information system.

Annex II. Risk Assessment Matrix¹

Source of Risks	Relative Likelihood	Impact/Time Horizon	Channel	Recommended Policy
Retreat from cross-border integration.	Medium	Medium/Short to Medium Term	Lower tourist arrivals and FDI	Carry through with prudent fiscal policies anchored by the FRL and structural reforms to build buffers and improve productivity and competitiveness.
Weaker-than-expected global growth	Medium	High/Short to Medium Term	Lower growth and worsening of fiscal and external balances	Carry through with prudent fiscal policies anchored by the FRL and structural reforms to build buffers and improve productivity and competitiveness.
Policy and geopolitical uncertainties.	Medium	High/Short to Medium Term	Lower consumption and investment	Carry through with the with prudent fiscal policies anchored by the FRL and structural reforms to build buffers and improve productivity and competitiveness.
Loss of Petrocaribe financing	High	High/Short Term	Worsening of fiscal and external balances	Carry through with the with prudent fiscal policies anchored by the FRL and structural reforms to build buffers and improve productivity and competitiveness.
New initiatives on pension and health care, higher than expected public sector wage increase and delays in public sector wage bill reforms could push the expenditure above the FRA-mandated expenditure-growth ceiling.	Medium	Medium/Short to Medium Term	Worsening fiscal balances	Internalize future aging costs in the FRL based on robust costing assessments. Examine parametric reform of the pension system. Carry through with prudent fiscal policies anchored by the FRL and structural reforms to build buffers and improve

¹ The Risk Assessment Matrix (RAM) shows events that could materially alter the baseline path (the scenario most likely to materialize in the view of IMF staff). The relative likelihood is the staff's subjective assessment of the risks surrounding the baseline ("low" is meant to indicate a probability below 10 percent, "medium" a probability between 10 and 30 percent, and "high" a probability between 30 and 50 percent). The RAM reflects staff views on the source of risks and overall level of concern as of the time of discussions with the authorities. Non-mutually exclusive risks may interact and materialize jointly. "Short term" and "medium term" are meant to indicate that the risk could materialize within 1 year and 3 years, respectively.

Source of Risks	Relative Likelihood	Impact/Time Horizon	Channel	Recommended Policy
				productivity and competitiveness.
Hurricanes, could cause severe damage to infrastructure and disrupt tourism flows.	Medium	High/Short to Medium Term	Lower growth and worsening of fiscal and external balances	Build buffers by saving receipts from the citizenship by investment program; increase coverage of natural disaster insurance with donor assistance; adhere to the fiscal rules in the FRL. Over the long-term, work with World Bank and donors to build resilience to climate change.

Annex III. External Sector and Competitiveness Assessment

Grenada's external position is weaker than implied by medium-term fundamentals and desirable policies. EBA-lite current account model estimates point to a current account deficit that is around 4¾ percent of GDP larger than the norm. However, external debt is on a decreasing trend as the current account deficit is amply covered by FDI and capital transfers, which reduces staff's estimated current account gap to 2.5 percent of GDP. The external sustainability approach suggests a current account that is 1.9 percent of GDP below the level needed to bring Grenada's NIIP to -60 percent of GDP within 20 years. However, there is significant uncertainty in the assessment linked to recent substantial revisions and continuing refinement to balance of payments data. Overall current account gap is estimated to be 2.5 percent of GDP. Continued fiscal restraint, containing the growth in nominal wages, and efforts to raise productivity will help address this current account gap. In contrast, the EBA-lite exchange rate model points to an undervaluation of 8 percent while the tourism sector appears to be cost competitive relative to other countries in the Caribbean. The level of international reserves is adequate.

A. Current Account Position

1. Grenada's current account deficit increased in 2017 and projected to stay at a relatively high level over the medium term. While it was low in 2014-16 at around 3.2-4.4 percent of GDP after the introduction of BPM6 improved it by over 10 percent of GDP, it increased to 6.7 percent of GDP in 2017, due to a rapid import growth fueled by a mostly private sector-led construction boom. Going forward, the tapering construction boom will help decrease the current account deficit temporarily, before the rise in public sector spending will modestly raise the current account deficit in 2021-23.

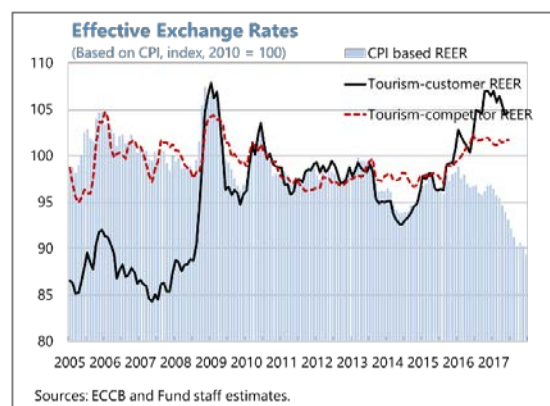
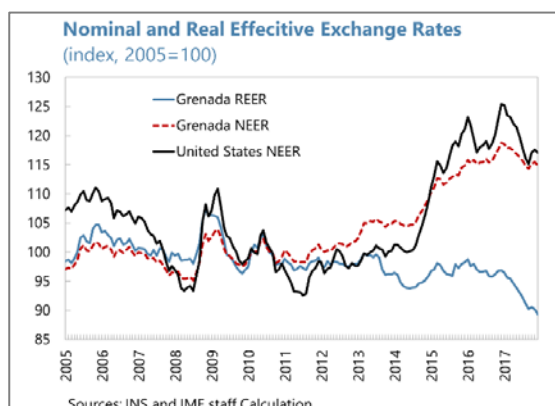
2. The EBA-lite current account model finds Grenada's cyclically adjusted current account to be weaker than the estimated "norm" of -2.0 percent of GDP by 2.5 percentage points. While a straightforward application of the model would lead to 4¾ of GDP gap, *external debt is on a decreasing trend as the current account deficit is amply covered by FDI and capital transfers. Taking this into consideration reduces staff's estimated current account gap to 2.5 percent of GDP.* Meanwhile the external sustainability approach suggests that the medium-term current account is around 2 percentage points weaker than a current account of -4.5 percent of GDP, which would be needed to reduce Grenada's net foreign liabilities to 60 percent of GDP over 20 years.

B. Nominal and real effective exchange rates

3. Grenada experienced a sizable real depreciation in 2017 in line with weakness in the U.S. dollar. Grenada's nominal effective exchange rate (NEER) was at virtually at the same level by end-2017 as at end-2015, as the three percent appreciation in 2016 was reversed in 2017 by the same amount, while the real effective exchange rate depreciated by 9 percent in 2017. The underlying driving force for the 2017 real and nominal depreciation is the depreciation of the U.S.

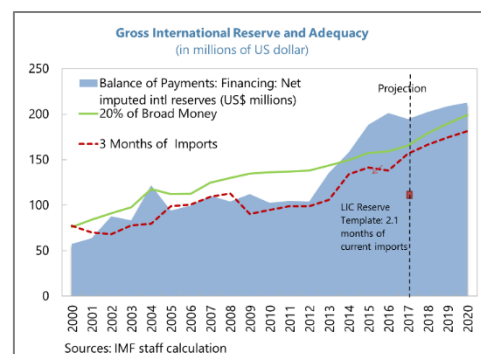
dollar, to which the regional currency is pegged. The divergence of NEER and REER since 2014 largely reflects inflation undershooting that of trading partners. The 2017 real depreciation is also the cause of the EBA-lite REER model result which suggests that Grenada's real effective exchange rate (REER) is modestly undervalued (by 8 percent). This result contrasts with current account gap results from the current account model and sustainability approach, which translate into 5-6 percent overvaluation using elasticity of -0.4.

Grenada: External Balance Assessment (EBA) Estimates (2017, in percent/percent of GDP)						
	Current Account Norm	Current Account Baseline 1/ Gap 2/	Current Account Gap 2/	Elasticity	REER gap 3/	
Current Account Regression	-2.0	-6.7	-2.5	-0.41	6.0	
External Sustainability Approach 4/	-4.5	-6.4	-1.9	-0.39	5.0	
REER Regression	...	...	...	...	-8.2	
1/ Baseline is 2017 for Current Account Regression approach and 2021 for External Sustainability Approach.						
2/ Current account norm was adjusted to reflect strong FDI and capital transfers.						
3/ Positive number suggests overvaluation.						
4/ The underlying scenario is reduction of net foreign liability to 60 percent of GDP in 20 years.						



C. Reserve Adequacy

4. Grenada's reserves remain adequate. Imputed reserves stood at US\$195 million at end-2017, covering 3.7 months of imports or 24 percent of broad money, and appeared to be adequate for cushioning external shocks and preventing disorderly market conditions. The imputed reserve position is 180 percent of ARA metric for credit-constrained economies, which suggests 2.1 month of imports as optimal level using a risk-based model tailored to low-income economies.^{1,2}



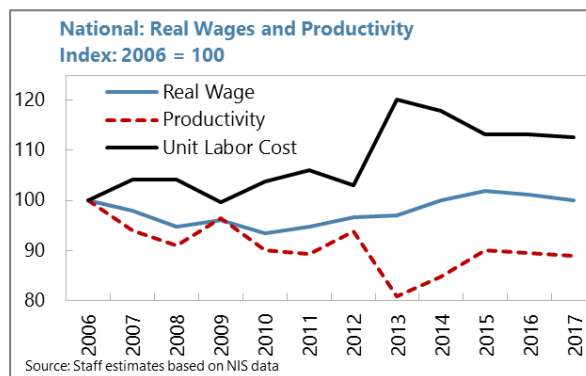
¹ International Monetary Fund, 2015, *Assessing Reserve Adequacy—Specific Proposals*,

² This assessment does not take into consideration the need for cushions to deal with natural disasters.

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D. Labor Costs and Productivity

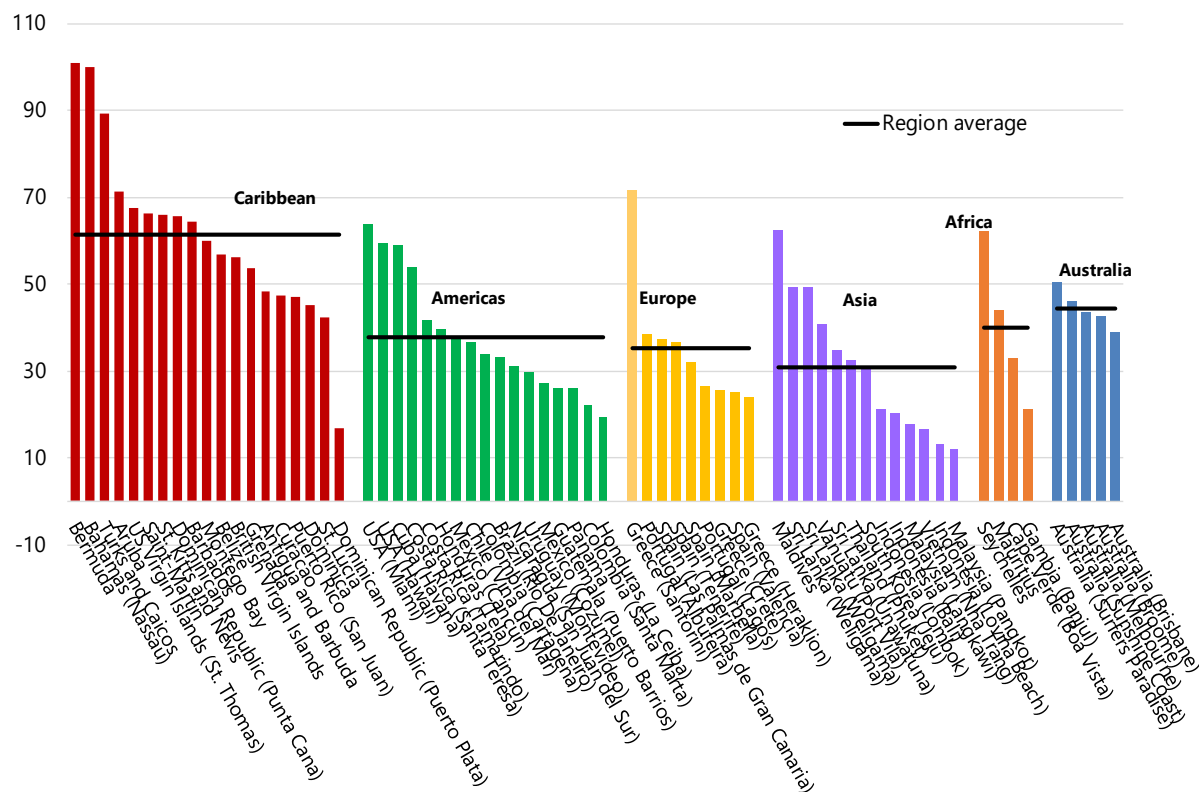
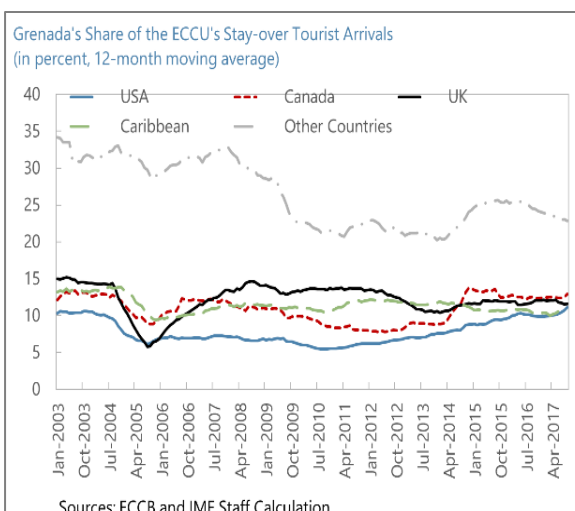
5. Grenada's labor costs have been stable in recent years. Labor productivity fell sharply during the global financial crisis resulting in an increase in unit labor costs. As the economy exited a four-year long recession, labor productivity started to recover, reducing unit labor costs, but since 2015 labor costs have leveled out at levels above that prior to the global financial crisis. Labor market reforms and a modernization of the public sector to improve flexibility, so that labor can be allocated to its best use and strong performance rewarded. Additional reforms are needed to match human capital to the needs of the economy. We welcome the government's intention to improve education and training and reform the skills training and apprenticeship programs to upgrade worker skills, support long run productivity growth and reduce relative labor costs. There is a strong need to make the public service more flexible, so that staff can be allocated to their best uses and so that strong performance is rewarded.



6. Supply-side reforms would further spur growth and job creation. Prioritizing rural infrastructure investments, improving air cargo logistics and storage, improving technology and research and finalizing a land use policy would enhance the production and export capacity of the agricultural sector. Energy markets need to be re-examined to facilitate competition, particularly the entry of renewable energy, and to ensure pricing practices are not generating unwarranted monopoly rents. Supporting legal and institutional frameworks and targeted public infrastructure investments would increase Grenada's resilience to natural disasters.

E. Tourism: arrivals, market share, and price

7. Grenada's tourism market share is gradually growing. After the devastating hurricanes in 2004 and 2005, Grenada suffered a 30 percent drop in its share of total stay-over visitors in the ECCU. The tourism industry was hit hard again during the global financial crisis in 2008-09. Grenada has started to regain its market share in 2014 helped by intensified marketing, the establishment of a new Grenada Tourism Authority, and the opening of a large brand-name luxury resort. While tourism costs in the Caribbean are high relative to other global beach destinations, comparisons against other Caribbean destinations suggest prices in Grenada are competitive.

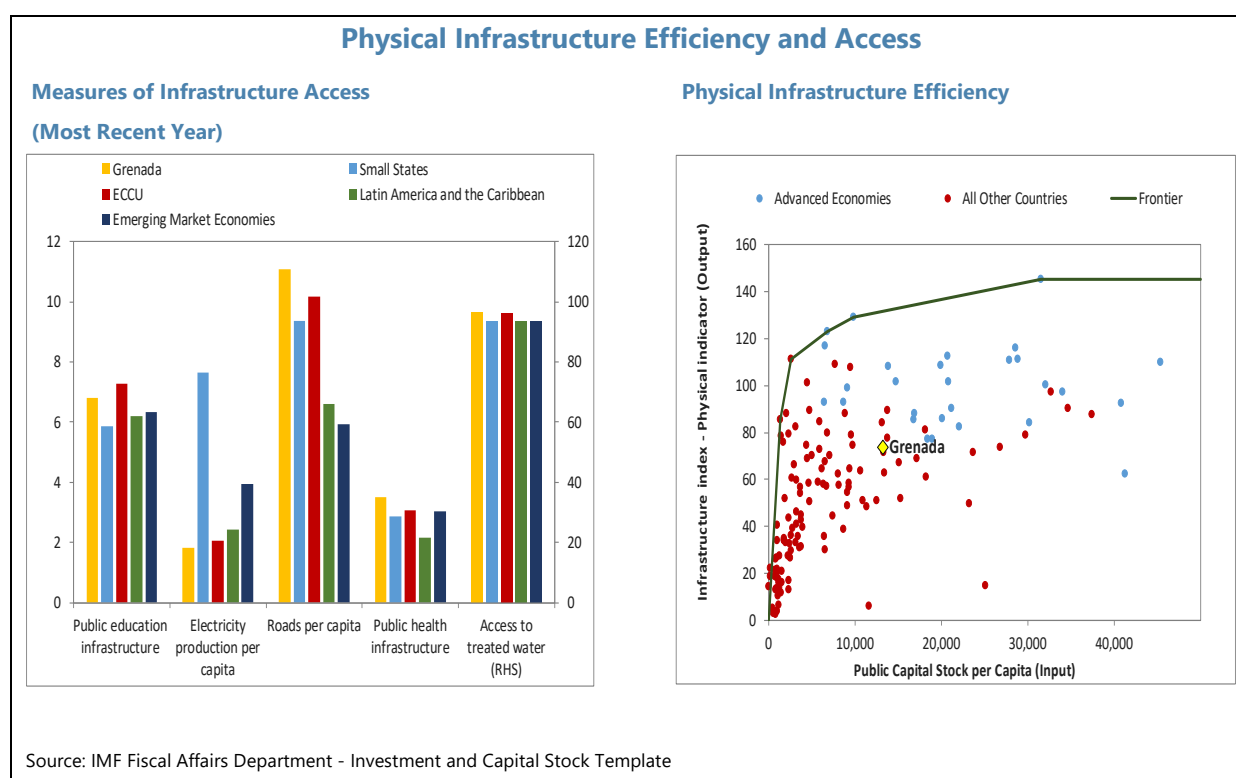


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Annex IV. Public Investment Management

Reforming the management of its public investment—including its planning, allocation and implementation— would help Grenada address its public infrastructure needs with fewer budgetary resources.

1. The public sector dominates the provision of infrastructure in Grenada and other ECCU member countries. The public sector is still the main provider of physical and social infrastructure in Grenada particularly in the areas of transport (roads, sea and airports), water supply, education and health. The private sector provides communication and energy infrastructure services. Public physical and social infrastructure (measured by length of road network, electricity production, and access to water, public health and education) in Grenada and the ECCU countries is higher than the average for small states and Latin American and Caribbean Countries (LATAM).¹ An assessment of the efficiency of physical infrastructure which combines the volume of physical and social infrastructure also suggests that the coverage of Grenada's infrastructure is high (0.73) relative to peer best performers on the frontier. These indicators do not measure the quality of the infrastructure.



¹ Small states are defined by the Commonwealth Secretariat and the World Bank as countries with a population ceiling of 1.5 million. However, this definition includes Jamaica, Lesotho, Namibia and Papua New Guinea, who share similar characteristics with small states.

2. Public investment is required to address significant infrastructure needs. A recent study by the CDB (2014) suggests that the quality of infrastructure in the Caribbean might be lower than implied by the physical scores.² As an example, 61% of the roads in Grenada are paved and 23% of the population accesses water through public standpipes while another 23% have access to rain water catchments, private springs, streams or ponds. Much of the infrastructure is aging and the poor quality of construction, together with under-investments and poor maintenance, means that infrastructure rehabilitation and upgrading is required so that countries can provide higher service standards, be more competitive and productive.³ Assessments of recent hurricane damage to infrastructure in Antigua and Barbuda, Dominica and other Caribbean countries highlighted the low quality infrastructure and the need for infrastructure that is more resilient to natural disasters. In 2014 the CDB estimated that about US\$157m (14% of GDP) was needed in new infrastructure investment to close Grenada's infrastructure gaps in electricity, transport and water and sanitation between 2015 and 2025.⁴ These costs exclude road rehabilitation, capital investments in sewerage treatment plants and water networks, and sewerage treatment plant upgrades as well as the costs of other social public investment such as education and health. Recent estimates for a National Climate Change Adaptation Plan (2017-21) to build resilience to climate change inclusive of infrastructure and water is US\$258m (23% of GDP).

3. Given its high indebtedness and limited fiscal space Grenada is exploring options of financing investment but it should also consider means for improving the efficiency of investment. There are concerns about the country's ability to finance such expenditures while maintaining fiscal and debt sustainability. Grenada is considering Public-Private Partnerships (PPP's) as a source of financing and has pushed to secure grant financing from Climate Funds. Infrastructure investment can spur growth and pay for itself when well executed, and lead to inefficiency and waste when not. Grenada's capital expenditure execution relative to budget intentions equivalent to 10.6% and 4.2% of GDP in 2016 and 2017, was 41% and 52%, respectively. Execution of ongoing projects were reasonable but shortcomings in the government's institutional and legal environment and inadequate technical capacity were major contributory factors to delays in project starts.

4. An assessment of the government's public investment management identifies several areas where improvements can be made. The IMF's (2015) Public Investment Management Assessment (PIMA) evaluation tool, seeks to identify the institutional features that minimize major risks and provide an effective process for managing public physical investments. It examines 15 key institutions that shape the three main stages of public investments. *Planning* sustainable levels of investment across the public sector; *Allocation* of investment to the right projects, the use of

² Public-Private Partnerships in the Caribbean: Building on Early Lessons, 2014, Caribbean Development Bank

³ ECCU countries are not covered in the World Economic Forum survey of public perceptions on the quality of infrastructure.

⁴ These are indicative costs of investment needs that are based on an estimation methodology that identifies gaps in infrastructure services, estimates the unit costs of providing the required services, and quantifies the investment needed by sector and country.

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multiyear budgeting, and project appraisal and selection; and *Implementing* projects on time and on budget through appropriate funding, monitoring and execution as well as protecting investment through adequate maintenance. The PIMA results are compiled from responses of officials in Grenada with knowledge of specific elements of the public investment management process.⁵ The results of the 2016 national Public Expenditure and Financial Accountability (PEFA) assessment was also used to assess and corroborate public investment management systems and functions across different stages of the investment cycle as well.⁶ The findings shows an overall score of 3.44 compared to the ECCU average of 3.9 and a top score of 10 and indicates that there is considerable scope for improving public investment management.

Table 1. Grenada: Public Investment Management Cycle

	Dominica	Grenada	Jamaica	ECCU
Planning	2.5	3.3	6.6	3.4
Allocating	4.8	4.0	6.0	4.8
Implementing	3.7	3.0	3.7	3.5
TOTAL	3.7	3.4	5.4	3.9
Source: IMF Staff and Grenada Authorities Assessment				

5. A targeted program to address these shortcomings, particularly in implementation, can improve quality and focus of public investment and increase its return.

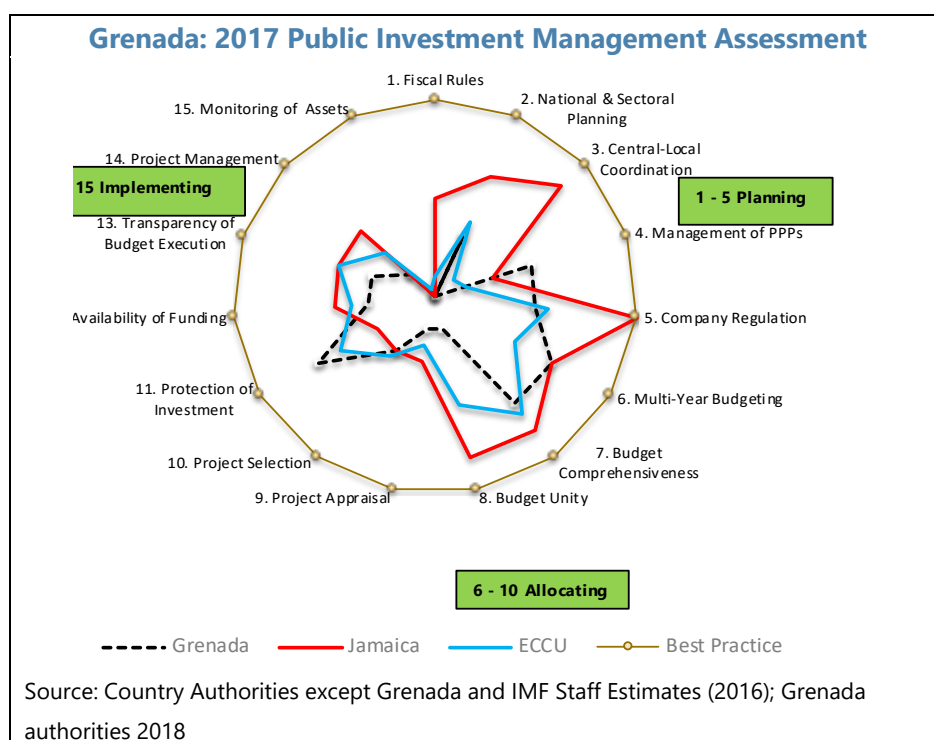
- Grenada's public financial management (PFM) and medium term fiscal framework benefits from the recently strengthened PFM Act (2014), Public Procurement and Disposal of Public Property Act (2014), a Fiscal Rules Act (2015) with targets on debt, wage spending and real primary expenditure, and a revised Chart of Accounts which since 2016 eliminated recurrent spending from capital spending. Notwithstanding the significant fiscal consolidation that occurred during 2014/16 the respective budgets facilitated *planning* for adequate levels of capital spending. The Growth and Poverty Reduction Strategy (GPRS 2014/18), a national plan, though limited in providing measurable targets for outputs and costings, identifies national investment priorities which are incorporated in the plans and financing of donor agencies that fund most investment expenditure.⁷ Only one sectoral plan was published but it did not include measurable targets for outputs and outcomes. The government established a policy framework and a strategy for Public Private Partnerships (PPPs) in 2014. A legal and regulatory framework to support competition and private sector involvement in

⁵ These include representatives of the Ministry of Finance including the Treasury Department.

⁶ The PEFA uses a scoring methodology for each subcomponent of the Public Financial Management system allowing monitoring and evaluation over time and comparisons across countries.

⁷ In 2017 a Nationally Determined Contributions report was provided to the United Nations Framework Convention on Climate Change and a draft National Climate Change Adaptation Plan was also prepared.

electricity and telecommunications and should be operationalized by the Public Utilities Regulatory Commission (PURC) and the National Telecommunications Regulatory Commission (NTRC), respectively. In general, regulators do not have price-setting autonomy or do not have full organizational, financial and managerial autonomy. The government monitors the financial performance of infrastructure SOEs and reviews their investment plans but does not publish a consolidated report. The below average score reflects the inability to assess the effectiveness of the legal and regulatory frameworks since many have been in effect for less than three years, prices for infrastructure services are generally set by the government, and a PPP Unit has not been established.



- The use of three-year budgeting systems has been useful in providing transparency in budget *allocations* for capital expenditure including the sources of financing. However, the projected ceilings on capital expenditure are indicative. Most capital expenditure including externally-funded projects is undertaken through the budget and appropriately reflected in budget documentation. Budget systems need to be further strengthened to reflect longer project cycles and to project the recurrent costs associated with capital investments. The Chart of Accounts was upgraded in 2016 and the distinction between recurrent and capital expenditure became operational in the 2017 budget. Cost-benefit analyses are conducted for major projects, usually in line with appraisals processes used by the donors involved but are not published. Major projects are reviewed by the staff of the Ministry of Finance and since 2017 have been vetted by the Priorities Planning Consultative Committee (PPPC) before submission to the Cabinet. This has facilitated the maintenance of a pipeline of approved projects for implementation although sometimes other projects may be selected for financing. The PFM Act (2014) provides for the establishment of project selection criteria

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however the methodology for project appraisals inclusive of risk assessments and the criteria and procedures for project selection have yet to be published.^{8,9} The below average score reflects shortcomings in the budget process for capital and current spending as well as in appraisals of project proposals and in project selection. Initiatives have been implemented to address some of these shortcomings but they have only been in effect for a year.

- The institutional framework for *implementation* needs significant strengthening. The budget system is relatively disciplined and transparent but needs to establish safeguards more explicitly. Total project costs are identified in the annual budget and financing is often timely released with ongoing projects given priority in annual allocations. Financing for investment projects is protected since unspent appropriations for capital outlays can be carried over to subsequent years and the PFM Act prohibits the shifting of financing to current spending. Donor funds appear to be reasonably well-protected, although a few are outside of the Single Treasury Account (TSA). Most major projects are tendered competitively but information on procurement is not often made available to the public. Project costs and physical progress are centrally monitored during implementation but project management arrangements including inadequate staffing in line ministries and executing agencies has contributed to the government's inability to meet conditions precedent to donor disbursements in a timely manner and causes realized investment to fall short of estimates. Rules and procedures for project adjustments or reviews of the rationale, costs and expected outputs are not standardized. Lastly, ex-post audits are rare unless required by donors, and except for some equipment, there is no monitoring and management of public physical assets.

6. The reform momentum must continue to ensure that public investment is efficient, provides growth dividends and ensures Grenada's resilience to natural disasters. The authorities have embarked on many initiatives to improve the institutional and legal framework for PIM. Many are in the early stages of implementation and will likely improve future assessments and scores. Establishing a successor to the GPRS (2014/18) with costings and measurable targets for outputs and outcomes, that harmonizes the policy direction and implementation, including the NAP, in the medium term, and is anchored by the National Sustainable Development Plan 2030 is needed. Plans to restructure the functions and operations at the Ministry of Finance and the Ministry of Infrastructure Development to improve the planning, coordination and implementation capacities for projects are welcomed. So too is the intention to establish an asset registry to facilitate the management and disposal of physical assets and the assessment of loss following natural disasters.

⁸ A draft procedures manual has been prepared and should be finalized in 2018.

⁹ From 2017, line ministries are explicitly required to consider the climate adaptation impacts of their proposed major capital projects.



INTERNATIONAL MONETARY FUND



Appendix I. Draft Press Release

Press Release No. 18/x
FOR IMMEDIATE RELEASE
[July [], 2018]

International Monetary Fund
700 19th Street, NW
Washington, D.C. 20431 USA

IMF Executive Board Concludes 2018 Article IV Consultation with Grenada

On July xx, 2018, the Executive Board of the International Monetary Fund (IMF) concluded the Article IV consultation¹ with Grenada.

The Grenadian economy grew by an estimated 4½ percent in 2017, driven by strong activity in construction, tourism, and education sectors. Weather-related weakness in agriculture has, however, been a headwind. Unemployment fell from 28 percent in 2016 to 23.6 percent in 2017. Inflation is low, falling below 1 percent, supported by the peg to the US dollar. The 2017 current account deficit increased by 3½ percentage points of GDP to 6¾ percent of GDP, reflecting rapid import growth. The fiscal situation improved further in 2017, with the government overperforming the targets of the Fiscal Responsibility Law (FRL). The primary surplus increased to 5¾ percent of GDP while public debt fell below 71 percent of GDP at end-2017 from 82 percent of GDP in 2016.

In 2018 and 2019, the economy is projected to grow by 3½ percent benefiting from supportive global economic conditions and continued strength in construction and tourism. Thereafter, growth is expected to ease to the long-term potential rate of 2¾ percent. Inflation is expected to edge up in 2018 reflecting recent global energy price increases, but stabilize at 2 percent in the medium term. The primary fiscal surplus is expected to remain high in the near term, supporting rapid debt reduction. Once the public debt ratio falls below 55 percent of GDP (projected for 2020), the fiscal surpluses and the pace of debt reduction are expected to moderate. The external current account deficit is projected to increase to 7½ percent of GDP in 2018 mostly from recent

¹ Under Article IV of the IMF's Articles of Agreement, the IMF holds bilateral discussions with members, usually every year. A staff team visits the country, collects economic and financial information, and discusses with officials the country's economic developments and policies. On return to headquarters, the staff prepares a report, which forms the basis for discussion by the Executive Board.

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increases in energy costs, but would decline thereafter as the construction-related imports and energy prices are expected to ease.

Executive Board Assessment²

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² At the conclusion of the discussion, the Managing Director, as Chairman of the Board, summarizes the views of Executive Directors, and this summary is transmitted to the country's authorities. An explanation of any qualifiers used in summings up can be found here: <http://www.imf.org/external/np/sec/misc/qualifiers.htm>.

Rank in UNDP Human Development Index out of 188 countries (2016)	79	Infant mortality rate per '000 births (2016)	9.9
		Adult illiteracy rate in percent (2004)	4
Life expectancy at birth in years (2014)	73	Poverty headcount index (2008)	38
GNI per capita in US\$ (2017)	10,390	Unemployment rate (2017)	23.6
Population in millions (2016)	0.11		

Sources: Ministry of Finance; Eastern Caribbean Central Bank; United Nations, Human Development Report 2008; World Bank WDI 2007; and Fund staff estimates and projections.

1/ Includes 0.7% of GDP CBI-related non-tax revenue in 2015.

2/ Includes the impact of the in principle debt restructuring agreement reached with the creditor committee for the 2025 bonds.